Workforce Housing in the Upper San Miguel Region

Building for Actual Demand

A study of what housing costs to build here, who needs it, what the region can support, and how to get the most housing for each public dollar

Prepared for the residents and public entities of the Town of Telluride, the Town of Mountain Village, and San Miguel County, Colorado

Prepared by **Livable Telluride** · August 2026

Draft for discussion

About this report

What it is for. This report gathers, in one place and in plain language, the public evidence about workforce housing in the upper San Miguel River valley, which we call the Region. It covers what housing costs to build, what people here earn and can afford, how much demand the public housing programs have actually seen, and what condition the shared water, sewer, and road systems are in. It then turns that evidence into a set of rules that any government can use to judge a housing proposal that asks for public money, public land, extra density, or waived fees.

Where the information comes from. Everything here comes from public sources: adopted policies and ordinances, engineering studies, audited financial statements, adopted budgets, state and federal data, certified lottery records, and, where no official record exists, published news reporting that is labeled as such. Every important number has an endnote that says where it came from. Notes marked [E] are our own calculations, and each one states the method and assumptions behind it.

How reliable each source is. We grade sources three ways. Grade A means official, adopted, or audited. Grade B means a professional study with a stated sample size. Grade C means news reporting or a single observation. The grades appear in Appendix A and in the endnotes.

What we are not. Livable Telluride is an independent community group. We are not licensed engineers, accountants, or municipal advisors. Dollar figures are given as they were reported in 2024 through 2026 sources and are not adjusted for inflation. Where public records disagree with each other, we say so. We welcome corrections and will publish them.

A note on tone. The findings here are direct, and none of them argue against workforce housing. They argue for complete arithmetic. That means building what people here actually need, pricing it where they can actually pay, counting the full public cost, and deciding on purpose how much growth the Region intends to carry.

Words used in this report

Term	What it means
AMI (Area Median Income)	The middle income for the area, published each year by the state. Under the 2025 table the Town of Telluride uses, 100% of AMI is $83,700 for one person and $95,600 for two. Program limits and rents are set as percentages of this figure.
Income-restricted housing	Housing with recorded legal limits on who may live there, usually local employees within income limits, and on what the rent or resale price can be. Deed-restricted housing is the same idea, with the restriction attached to the property deed.
Tier	The income step used to set rent in the Town of Telluride rental portfolio, lettered A (lowest) through J (highest).
Market-rate housing	Housing with no limits on who may live there or what it may sell or rent for.
Public subsidy	The public money needed to cover the gap between what a unit costs to build and operate and what the people living there pay.
Need-catching housing	Housing built for people who already live or work here, including workers who are crowded, displaced, or driving in from far away.
Growth housing	Housing meant to bring in new workers for new or unfilled jobs. This is a legitimate goal, but the money works differently, so we treat it separately.
Restriction purchase	Paying the owner of an existing home to accept a permanent restriction on who can live there and what it can sell for. Vail does this through a program called InDEED. It creates a workforce home without building anything.
MGD	Million gallons per day, the standard way to measure the size of a water or sewer plant.
BOD	A measure of how strong sewage is, separate from how much of it there is. The regional sewer plant runs out of strength capacity before it runs out of volume capacity.
Level of Service (LOS)	The A through F grade traffic engineers give an intersection. LOS F means failure, with long and unpredictable waits.
The gondola	The free aerial link between Telluride and Mountain Village, running since 1996 and now near the end of its designed life.

Executive summary

Most public conversation about housing here starts with one question, which is how to build more units. The evidence in this report suggests that is the wrong place to start. A better set of questions is what should be built, for which households, at what public cost, with what return for each public dollar spent, and within what limits the shared water, sewer, and road systems can actually handle.

We reached twelve main findings.

Ref	Finding
F1	**Local wages do not cover local rents. Workers in the two biggest job sectors here can afford roughly $960 to $1,230 a month using the standard measure of 30% of income. The middle market rent is $1,848, and in Telluride it is about $3,056. (Section 4)**
F2	**When housing is priced low, demand for it is very deep. A 2023 waiting list opening in Mountain Village took 50 applications in two hours, and a 2026 lottery for affordable homes to buy drew six qualified households for every unit. (Section 5)**
F3	**When housing is priced high, demand runs out quickly. The 2024 lottery for the Voodoo building, with rents aimed at households earning 110% to 170% of AMI, drew 33 applicants for 27 apartments, and five were still empty that December. (Section 5)**
F4	**The switch to income-based rents in January 2025 worked as an accidental pricing test. Eighty-two renewal rents went up, 35 of them by more than 49%, and by April 2026 about 24% of the Town's portfolio sat empty. The Town housing director said publicly that the vacancies were about price, not lack of demand. The rent formula has since been lowered. (Section 5)**
F5	**Building new below-market housing is expensive for the public. At what the Voodoo project actually cost, the public share runs from about $644,000 per unit at the highest rents to about $1.03 million at the rents where demand actually exists. Buying a restriction on a home that already exists has cost Vail about $62,000 to $68,000 per unit. (Section 6)**
F6	**The shared systems are at or past their limits. The regional sewer plant is over its strength rating, its permit expired in November 2025 and runs on administrative extension, and replacing it is expected to cost well over $133 million. Two gateway intersections are on track to fail on ordinary background traffic growth alone. Replacing the gondola is estimated at $120 to $150 million, and the money set aside for it is both far short and under legal challenge. (Section 11)**
F7	**About 84% of the County official housing need figure of 1,114 units is for growth, meaning relocating commuters, unfilled jobs, and jobs that do not exist yet, rather than for people who already live here. Choosing between housing the current workforce and paying for growth is therefore the first decision to make, and it has not been made openly. (Sections 2 and 12)**
F8	**Nobody has ever measured how long it would take to evacuate the Telluride box canyon, even though the County hazard plan calls wildfire evacuation a major concern. This is the single most important missing number in regional planning. (Sections 11 and 20)**

F9	**Ranked by public cost for each worker housed, the tools available differ by more than ten times, and the tool the region uses most does not pay for itself. Repricing empty public units, buying restrictions, and leasing existing homes house a worker for roughly $2,000 to $15,000 a year. Custom construction at Voodoo prices costs more each year than housing that worker is worth. (Sections 8, 9, and 10)**
F10	**If the goal is to house the current workforce, the honest program is small enough to finish. It runs about 250 to 400 beds and costs roughly $15 to $25 million over ten years, which is less than the public paid for the single Voodoo project. By comparison, one proposed project, the 225-unit Carhenge redevelopment on Town land, is modeled at about $214 million, which is a similar number of bedrooms for roughly ten times the money. (Sections 14 and 18)**
F11	**Helping people buy homes is a different tool with a different job. It keeps workers here rather than opening the door to workers who have none. It makes sense when the public puts in a flat amount to buy a permanent restriction, and it becomes a transfer of public wealth when the payment grows to bridge the price of an expensive home or when the resale cap is weak. (Section 14)**
F12	**The Town of Telluride has adopted a goal of housing 30% or more of its own employees in Town-owned units. The goal appears twice in the 2025 budget book and does not appear at all in the 2015 or 2020 books. The goal is public, but its size is not. On our method the benefit is worth about $450,000 to $600,000 a year in untaxed pay, which is roughly 3% to 4% of Town labor cost, and the money to build the units ranges from about $4.1 million to $28.7 million depending only on which building method is chosen. Because the goal is written as a percentage of a workforce that keeps growing, it can never be finished. (Section 14)**

Sections 2 through 16 lay out the evidence. Sections 17 through 20 turn it into a working method for planning departments, with twelve rules, a scorecard, a test of the rules against the region own past projects, and a costed plan with a finish line.

1. How we did this work

Livable Telluride carried out this study between May and August of 2026, in five stages. First we built a source-controlled file of every public number that bears on rents, incomes, program rules, and unit counts in the Region. Second we rebuilt the finances of the existing housing projects from bond documents, budgets, and adopted rent tables. Third we reviewed the capacity of the water, sewer, and road systems using the engineering studies and regulatory records those systems produced themselves. Fourth we studied how other resort communities handle the same problem, looking at Aspen and Pitkin County, Whistler, Jackson and Teton County, Vail, and Sanibel, Florida. Fifth we built the decision method in Sections 17 through 20, which ranks the tools the Region has actually used by what they cost and what they deliver.

We held ourselves to two standards throughout. No number appears in this report without a source, and every calculation states its assumptions in the endnotes. Where we could, we tested program rules against the live systems. The Town of Telluride rent formula, for example, was checked against the Town's own online 2026 rent calculator, and our worked example matched its answer to the dollar.[4]

2. The first decision: what is subsidized housing for?

A government can subsidize housing for two different reasons, and they are worth separating before anything else.

The first reason is to house the workforce the Region already has. That means the households already holding jobs here who are crowded into small spaces, at risk of losing their housing, or driving long distances to get to work. Under this goal, the government tries to avoid subsidies that pull in new demand.

The second reason is to grow. Under this goal, housing is used to attract new workers for businesses that are expanding or that want to open. Both goals are legitimate choices for a community to make. They cost different amounts, they put different loads on the shared systems, and they end in different places. A program that never picks between them will tend to drift toward the second one while describing itself as the first.

The County's own housing target shows how big that difference is. Of the 1,114 units of need identified in the 2025 Housing Needs Analysis, about 16%, or 182 units, would house people who already live in the county. The other 84% would house relocating commuters, fill jobs that are open now, and serve jobs that have not been created yet.[47]

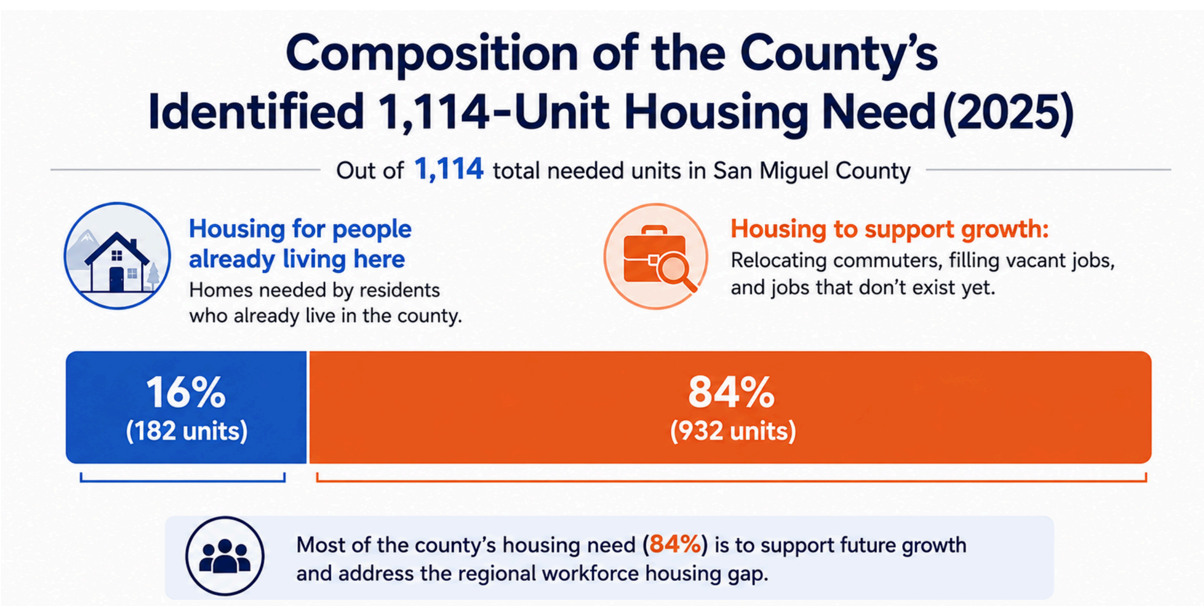


Exhibit 1. What makes up the 1,114-unit need identified in the 2025 Housing Needs Analysis.[47]

This report uses the first goal as its lens. We look at how to house the current workforce without using the housing program to pay for growth. Three findings later in the report support that choice. Demand is concentrated among workers who already live here and who need lower prices than the market offers (Section 5). The public cost of serving growth-driven demand has no natural limit as long as the growth itself has no limit (Sections 6 and 12). And the shared water, sewer, and road systems cannot absorb open-ended expansion (Section 11).

A town that wants to choose growth instead is free to do so. We only ask that the choice be made openly, by a vote of the governing body, with the infrastructure bill attached, rather than buried inside how a housing program is sized.

3. How housing works here now

A renter in the Region runs into four separate systems.

- **Market-rate rentals.** These have no restrictions. Very few are listed at any given time, and most change hands through word of mouth.
- **The Town of Telluride portfolio, 251 units.**[1] This includes Shandoka with 140 units, Sunnyside with 30, Voodoo with 27, Virginia Placer with 21, and the Boarding House with 33 rooms. Rent is set by what the household earns rather than by which unit it is.
- **Village Court Apartments in Mountain Village, about 220 units.** Ninety-five of these carry state income limits at 50% to 60% of AMI. Standard rents run from $824 for a studio to $1,574 for a three-bedroom.[2]
- **Privately owned deed-restricted homes.** These are owned or rented under recorded restrictions. Sales happen through lotteries, and rentals are almost never listed. In July 2026 there was exactly one listed in the whole county.[3]

3.1 How the Town sets rent

Since January 2025 the Town has set rent based on what a household earns. One example shows how it works. A two-person household earning $85,000 lands at 89% of the AMI grid, which puts it in Tier C. Tier C rent is calculated from the 80% AMI income level, and for a one-bedroom at Shandoka that comes to $1,395 a month.[4] If the household documents a higher income at renewal time, the rent moves up to the next tier with it. That is the mechanism behind the large rent increases reported in 2025.

Two features of the formula matter for the findings later on. The formula uses 25% of the tier target income at the original Shandoka buildings and 27% everywhere else, and the Town lowered those rates from 27% and 30% starting in January 2026 after the vacancies described in Section 5.[5] Also, the cheapest buildings only accept new tenants in the lower tiers, so at the original Shandoka buildings a new tenant must qualify in Tiers A through D. A middle-income household can therefore only get into the system through the newer and more expensive buildings.[6]

4. What people here can afford

Affordability starts with wages. Exhibit 2 compares what average earners in the main local occupations[7] can afford at the standard 30% of income[11] against the two best-documented measures of what rent actually costs.[9,10]

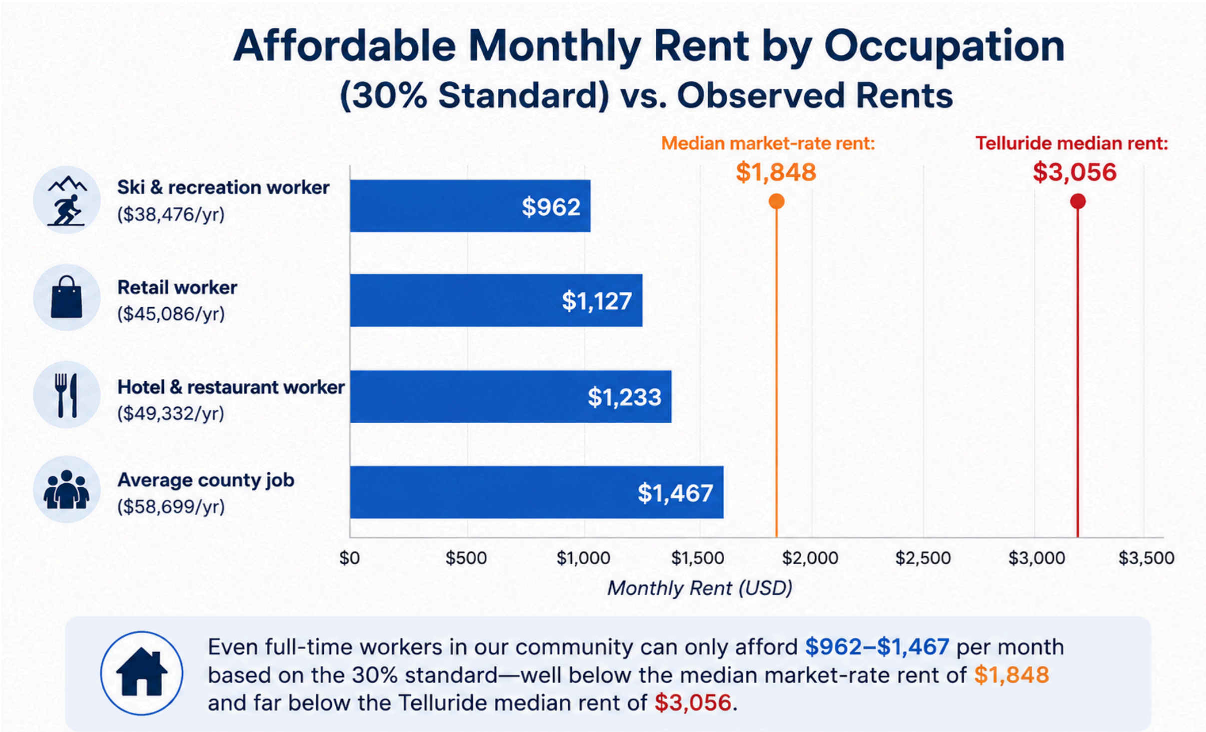


Exhibit 2. What full-time work here can afford. Wage data from the U.S. Bureau of Labor Statistics for San Miguel County, 2024 annual averages.[7] Market middle rent from the 2024 regional household survey.[9] Telluride middle rent from the U.S. Census, 2020 through 2024.[10]

A single earner in the two largest sectors, which are hotels and restaurants at 1,532 jobs and skiing and recreation at 856 jobs,[8] cannot afford the middle market rent without another earner in the household. Census data fills in the rest of the picture. More than half of renter households in the county pay over 30% of their income for rent, and roughly a third pay more than half of it.[12]

What this means. The gap between wages and rents is built into the local economy rather than being a small shortfall at the margin. No single employer can close it by raising pay, which is why the policy weight falls on the price, the size, and the number of restricted homes.

5. What people actually apply for

None of the three governments keeps regular records of vacancies, waiting lists, or applications.[13] So the evidence about demand comes from specific public events instead. Those events happen to be very useful, because they took place at three clearly different price levels.

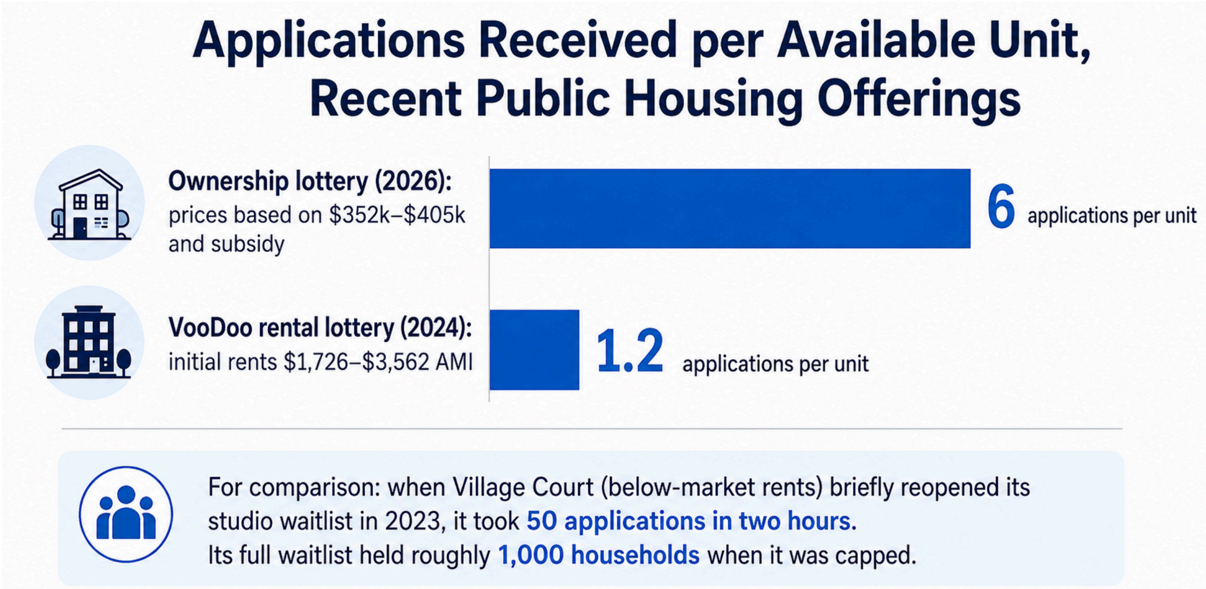


Exhibit 3. Applications received for each available unit. Voodoo's figures from Town lottery records, August 2024.[17] Ownership lottery from certified housing authority results, April 2026.[16] Village Court comparison from Mountain Village housing records.[14,15]

The pattern is consistent. Demand is very deep at prices below market, and it is close to exhausted at the 110% to 170% AMI rents where the newest public housing was introduced.[19] What happened to the last five Voodoo apartments in December 2024 confirms it from the Town's own records, because the eligibility rules were loosened and the apartments were offered first-come, first-served.[18]

5.1 The January 2025 rent change

When the Town moved its 251-unit portfolio to income-based rents in January 2025, it created an unplanned test of how sensitive tenants are to price.

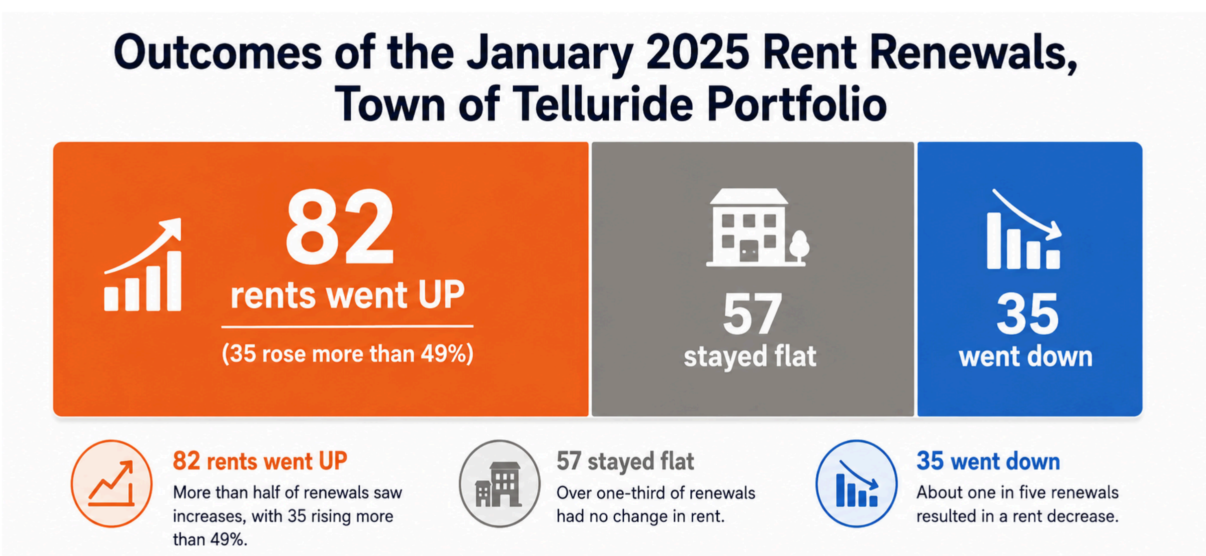


Exhibit 4. What happened at renewal, as reported in April 2026.[20]

By April 2026, 49 of 201 units were empty, which is about 24%, and roughly 15 of those were being renovated.[21] The Town housing director said publicly that the empty units were not the result of weak demand.[22] The Town Council then lowered the rent multipliers effective January 2026, with expected savings for tenants of $100 to $400 a month.[23]

What this means. The shortage in this Region is specifically a shortage of housing priced at or below about 100% of AMI, and mostly in smaller units. Demand for anything priced above about 120% of AMI has now been tested twice by the market and found to be thin.

5.2 Two experiments with homes for sale

The Region has now run its ownership experiment in both directions, and the results point the same way. **Meadowlark** in Mountain Village built 29 homes for sale and finished them in October 2024. Twenty-eight of the 29 sold within two months.[56] Its deed restriction sets **no income limits at all**. It only requires that a buyer work in the Telluride school district, and it caps how fast the price can rise at 4% a year. That means the pool of possible buyers was every worker in the district.[57]

Pinion Park in Norwood, a 24-home pilot project, went the other way. Five homes listed between $262,895 and $383,244 have now sat unsold for five to twenty months, and the housing authority has received exactly one qualification application.[58,59] The covenants cap buyer incomes at 120% of AMI, and at 80% on some homes, while the prices require an income close to those caps. A county commissioner described the result as looking for a unicorn buyer. The original sales only worked because the first buyers got a one-time mortgage at 2.5% with no down payment, and buyers at resale cannot get that. In other words the affordability was in the loan rather than in the price.

What this means. How the eligibility rules are written decides whether homes sell, no matter what the price is. Restrictions based on employment with wide income windows work. Income caps set close to the price fail. And affordability that depends on a special mortgage falls apart the first time the home is resold.

5.3 How many homes the need-catching goal actually requires

Using the goal set out in Section 2, the target is a specific number rather than an open-ended one. It is the roughly 182 homes of documented need among people already living here,[47] plus whatever share of current long-distance commuters the Region decides to bring home, which is a policy choice of roughly 100 to 200 beds that the demand survey in Recommendation R7 would pin down, minus the roughly 70 beds that could be recovered simply by repricing public units that sit empty today. That works out to a program of about **250 to 400 beds**, published each year with a stated finish line.[79] The rest of this report is about delivering that number for the least public money.

6. What it costs to build

When rent is set below market, the housing itself still costs whatever it costs to build. The public simply pays the part the tenant does not. That is why a low rent and a low cost are two very different things. The measure we use is straightforward. We ask how much of a unit cost its rent can finance, and whatever is left over is the public subsidy.[24]

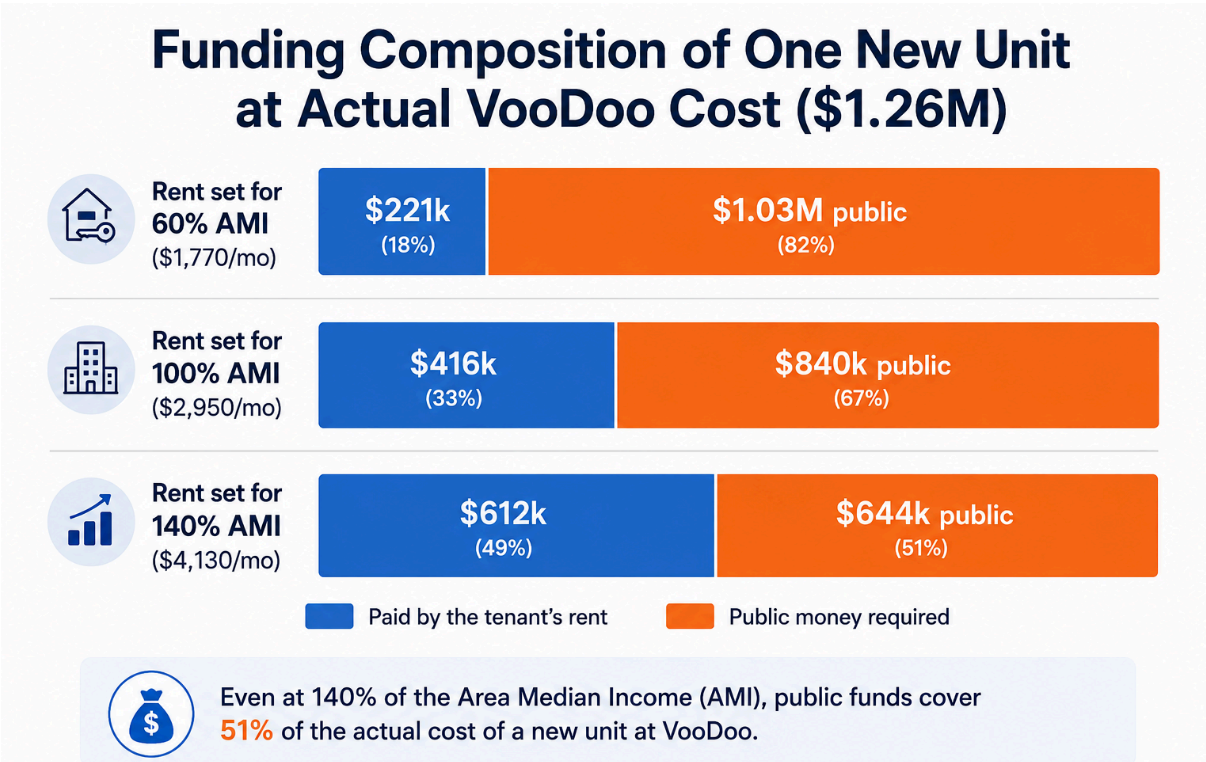


Exhibit 5. Where the money comes from at what Voodoo actually cost to build and finance. The chart assumes the debt is paid off over 30 years, which is more favorable than the actual loan structure.[24,26]

The first full year of operation confirmed the model. In fiscal 2025 Voodoo collected $872,000 in rent against $1,324,338 in loan payments and operating costs, which left an annual gap of about $452,000 and meant that rent covered 73 cents of every dollar of debt service. Town's budget documents describe the building as full for the year, although five of its 27 apartments were still unleased in mid-December 2024, so some of the shortfall may reflect the building filling up slowly. That distinction does not change the conclusion. Even at the building full-occupancy potential of roughly $0.9 million, rent cannot cover its costs, so the gap is built into the project rather than being a temporary problem. The loans also do not pay down over time, and a single payment of $23.05 million comes due in December 2032 with no savings fund set aside for it in the published budgets. On that structure the project total cost reaches about $41 million by 2032.[25]

Comparing the two completed Town projects isolates the one thing that actually drives the subsidy, which is what it costs to build.

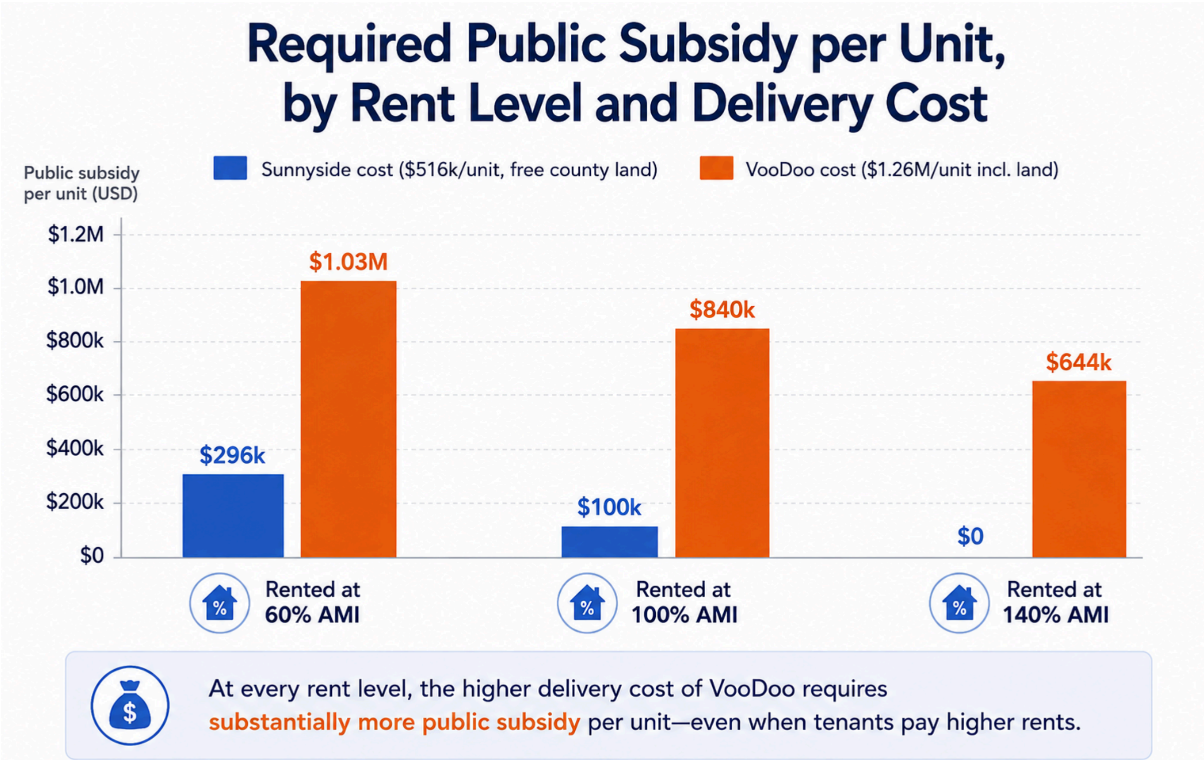


Exhibit 6. The same method applied to both completed projects.[24,27] The proposed Shandoka Lot L program at about $3.3 million per unit is left out because that figure includes a parking garage of roughly 900 spaces.[28]

Costs also continue for as long as the building stands. Measured against the closest mature comparison, which is the audited statements of the Whistler Housing Authority, and against the Town's own numbers, running the 251-unit portfolio costs about $3.3 million a year before setting anything aside for major repairs.[29] An age-appropriate repair fund adds another $600,000 to $1 million a year.[30] Two large loan payments are already scheduled, at $23.05 million in 2032 and $6.17 million by 2040.[31] The Town housing operation already runs on a $13.76 million annual budget with more than ten staff.[32] Administration at maturity, based on what Aspen and Whistler spend, runs about $2,000 to $3,000 per unit per year and never goes away.[33]

6.1 Six ways to deliver housing, compared

The Region has now tried six different methods. Ranked by what the public paid for each unit or each restriction:

- **Buying a restriction, as Vail does through InDEED: about $62,000 to $68,000.** Proven across 162 units, and limited only by how many owners are willing to sell a restriction.[34]

- **Meadowlark's ownership: about $137,000 per home, or about $61,000 per bedroom.** Twenty-nine homes on a $20.9 million budget, with a town contribution of about $6 million less at least $1.6 million recovered from unsubsidized sales to essential organizations. It sold out.[57]
- **Village Court Phase 4 rentals: about $4 million of town cash within a $22.6 million project** covering 35 apartments and 88 bedrooms, with the rest carried by a $15 million lease-purchase and more than $3 million in grants.[57]
- **Sunnyside rentals: roughly $300,000 to $500,000 per unit**, on land the county provided at no cost.[27]
- **Voodoo rentals: about $955,000 of public cost per unit**, plus the ongoing gap described above.[25]
- **The Shandoka Lot L proposal: about $3.3 million per unit**, weighed down by the parking garage.[28]

Two lessons run through that list. The first is that land cost and construction cost set the subsidy, rather than anything about how a building is run day to day. Projects built on free or town-owned land to a modest standard, like Meadowlark and Sunnyside, cost the public a fraction of what custom in-town construction costs. The second is that building more homes on the same site spreads the subsidy further. The Mountain Village council concluded afterward that it should have built 41 homes at Meadowlark rather than 29.[57]

What this means. At what it costs to build today, each new below-market unit is a public commitment of somewhere between $600,000 and more than $1 million before counting its share of the regional infrastructure bill. The alternative of buying a restriction on a home that already exists, at roughly $62,000 to $68,000 in the Vail program,[34] deserves to be priced first every time there is eligible housing stock to buy.

7. What housing a worker gives back

Cost is only half of the question. The other half is what the community gets in return. Under the need-catching goal, each proposed bed should first face a simple test. Does it change who fills a job that already exists, or does it make a new job possible? A bed that moves a commuting or crowded worker into stable local housing adds almost no new demand to the Region, because the job is already there and the worker already spends money here. Separately measured research on how much paid work a home creates puts workforce households at the very bottom of that scale, at roughly 0.01 to 0.1 full-time jobs for a modest local home, compared with roughly one full-time job for a large second home that sits empty most of the year.[76] A bed that lets a new business staff up serves the growth goal instead, and belongs in the separate decision described in Section 2.

Housing one existing worker locally produces value that can be measured. A worker who moves here from Montrose stops driving, which saves roughly $18,000 to $20,000 a year in vehicle costs at standard mileage rates. That worker gets back about two and a half hours a day of driving time. The employer saves the cost of turnover and unfilled positions. The gateway intersections carry fewer cars at rush hour. And the household takes part in local life, from school enrollment to volunteer emergency service. Added up conservatively, the return comes to roughly **$25,000 to $40,000 for each worker each year.**[77] That figure is the yardstick. If a tool costs more per bed each year than that, it makes the community poorer with every bed it fills.

8. Ranking the tools by cost

Putting the tools the Region has actually used in order by public cost per worker housed each year, measured against the return in Section 7, produces this list.[78]

Tool	Public cost per bed	Per year	Adds growth?	Return vs cost
1a. Fill empty units by fixing eligibility and tier access	**About $0**	**About $2k**	**No, they exist**	**About 10 to 1**
1b. Reprice empty units, if legally available	**About $0 upfront**	**About $2–4k**	**No, they exist**	**About 10 to 1**
2. Buy deed restrictions	**About $30–35k once**	**About $2k**	**No construction**	**About 10 to 1**
3. Lease existing market homes	**Ongoing**	**About $5–15k**	**No, and reversible**	**About 2 to 5 to 1**
4. Meadowlark-style ownership on public land	**About $61k/bedroom**	**About $4k**	**A little**	**About 5 to 1**
5. Village Court-style modest rentals, free land	**About $45k cash/bedroom**	**About $5k**	**A little**	**About 4 to 1**
the break-even line				
Custom construction at Voodoo prices	About $700k+/bed	About $45k+	Yes, fully	**Under 1 to 1**
Carhenge as proposed, 225 homes	About $630k to $740k/bed	About $44k	Yes, fully	**Under 1 to 1**
Lot L style, with a garage attached	About $1.5M+/bed	About $100k	Yes, fully	**Far under 1 to 1**

Two things stand out. The first three tools house exactly the same worker for roughly 5% to 20% of what construction costs, and they put no load at all on the sewer plant, the roads, or the local construction labor market. Under the need-catching goal they are not just cheaper, they are the only tools that fit the goal completely, because they work inside the buildings that already exist. Below the break-even line, the yearly public cost of a bed is larger than the entire yearly value of housing the worker in it. For several years the Region has been spending past that line, which helps explain why the housing budget keeps growing while the shortage stays about the same.

The last three rows deserve a note. Voodoo and Lot L are finished or shelved, but **Carhenge is a live proposal in front of the Town right now**, and on the published model it costs about $953,000 per home, which is within a few thousand dollars of what Voodoo cost the public.[90] It appears in this table at the same place Voodoo does because it is the same kind of project at the same price. Section 14.6 works through it in detail, including the changes that would move it above the line.

8.1 A legal limit on the cheapest tool

The first tool on the list carries a complication that the others do not, and it needs to be stated before anyone acts on it.

The Telluride Housing Authority has issued about $81.7 million of bonds across five projects without a public vote, relying on the enterprise exemption in the Colorado Taxpayer Bill of Rights. To qualify as an enterprise, an entity has to be government owned, has to operate as a business, and has to receive less than 10% of its annual revenue in grants from Colorado state and local governments. All three have to be true. Livable Telluride published a separate legal analysis in March 2026 concluding that the Authority likely fails two of the three tests, and readers should weigh these paragraphs knowing that we hold a position on that question.[95]

Lowering rents touches the third test in two ways at once. Rent is most of what sits in the denominator of the fraction, and money the Town appropriates to cover operating shortfalls sits in the numerator. Cutting rents therefore looks at first glance like it would push the government share up on both sides.

The arithmetic runs the other way, though, because the portfolio is not full. Roughly 34 rentable units sit empty and earn nothing at all. Cutting rents across the occupied units by something like 7% would give up on the order of $230,000 a year, while filling those 34 empty units at the reduced rent would bring in roughly $680,000. On that illustrative basis, total revenue rises by about $450,000 and the appropriation needed to cover the gap falls, which improves both parts of the fraction rather than worsening them.[96]

The more important point is that neither result matters much. On the figures in our own analysis, government-sourced money runs about 52% of the Authority identified revenue at the entity level, and 15.2% at Virginia Placer in its 2019 actuals. Getting from 52% down under 10% would take roughly ten times the rent revenue the portfolio produces today. **No rent change**

available to the Town, in either direction, moves that number across the line. Repricing does not create the exposure and it cannot cure it.

Two risks are real, though, and they are different from the arithmetic above.

The first is the second test rather than the third. Deliberately setting rents to meet a social goal instead of to cover costs is itself evidence that the entity runs as a government program rather than as a business. That test is a judgment call rather than a calculation, and a public decision to lower rents for affordability reasons is exactly the kind of fact that gets quoted back later. The Town Finance Director wrote in October 2024 that enterprise funds should be entirely or predominantly self-supporting, which is the standard that decision would be measured against.

The second is more immediate and has nothing to do with TABOR. Revenue bonds normally carry rate covenants, meaning a promise to bondholders that the issuer will set rents high enough to cover debt service by a stated margin. Across the analyzed projects, coverage already runs about 0.70, so the Authority may be at or past those promises now. **Any repricing has to be checked against the actual bond documents before it is proposed**, and those documents should be published so the public can see what room exists.

What this really shows. The Town is trying to satisfy three requirements that cannot all be met at what these buildings cost. The debt needs high rents. The demand curve in Section 5 needs low rents. Enterprise status needs the projects to pay for themselves. Better pricing cannot resolve that, because it is not a pricing problem. It is what happens when buildings get built at costs their rents can never support, which is the central finding of this report showing up in legal form.

So the practical order changes a little. Fill the empty units first using the changes that never touch the rate structure, which means widening eligibility tiers, fixing the rule described in Section 3.1 that lets households enter the system only through the newest and most expensive buildings, adjusting work-hour requirements, and offering ordinary lease-up incentives. Those steps carry no legal exposure at all. Then, once the bond covenants and the enterprise math have been modeled and published, decide what repricing room actually exists.

8.2 A third option: stop claiming to be a business

There is a cleaner way through all of this, and it deserves to be on the table alongside the others. The Town could simply accept that the Housing Authority is not an enterprise, set rents where the demand actually is so the empty units fill, and put future housing debt to a public vote.

The appeal of that path is that it removes the constraint instead of working around it. **The 10% test only binds an entity that is claiming the exemption.** Stop claiming it, and the question of whether appropriations are 15% or 52% of revenue stops mattering for that purpose. The Authority would then be free to price its housing for the households it was built to serve, rather than pricing it to support a legal position. Everything in Section 5 says those two numbers are far apart, and the January 2025 experience says the gap is what produced the vacancies in the first place.

The immediate gain is concrete. Roughly 34 rentable units sit empty today. Filling them at rents the local workforce can actually pay would house something like 48 more people at no capital cost at all, which is **between 12% and 19% of the entire need-catching program described in Section 19**, delivered out of buildings the public already owns. Nothing else on the list in Section 8 produces that many beds that fast.

The second gain is honesty in the budget. Today the subsidy travels through moral obligation lines and transfers between funds, which is why it took outside analysis to total it up. Once the program is described as a subsidized government program, the subsidy becomes an ordinary appropriation that appears in the budget, gets debated at budget time, and can be compared against the other things the same dollars could buy. That is the same principle behind Rule 10 and Rule 12, applied to the Authority itself.

The third gain is that future borrowing would go to voters, which the Town Charter appears to require for public debt in any case. On this report analysis that is closer to a benefit than a cost. A project that cannot survive a public vote is usually a project that also fails the break-even test in Rule 5, so the vote does much the same work the rules do, with more legitimacy behind it.

Three things would have to be worked out, and the first two are not small.

The bond covenants do not go away. Promises made to bondholders about setting rents high enough to cover debt service are contracts, and they survive regardless of what happens with TABOR status. If those covenants exist in the form we expect, lowering rents would require either room inside them or a structure in which an open Town appropriation counts toward coverage. This is the first document to read, and it is the reason Recommendation R12 asks for the covenants to be published.

Bonds already issued are a separate question from bonds not yet issued. Conceding the point going forward is not the same as saying past issuances were invalid, and the consequences of the second are potentially serious. Whether and how those can be separated is a question for bond counsel and outside counsel, not for this report, and we do not offer a view on it. We only note that the two questions are different and that any decision should be made with that advice in hand.

Other TABOR rules would then apply. An entity that is not an enterprise is subject to the revenue and spending limits that go with that status, and those limits could constrain the Authority in ways that have nothing to do with rents. That should be modeled before the choice is made rather than after.

Why we raise it. Section 8.1 described the Town as caught between three requirements that cannot all be satisfied at what these buildings cost, because the debt needs high rents, the demand curve needs low rents, and enterprise status needs the projects to pay for themselves. Two of those three are facts about the buildings and cannot be argued away. The third is a legal position the Town chose to take. **Of the three, it is the only one the Town can simply put down.** Doing so would fill the units that are empty right now, make the real cost of the program visible in the budget where it can be weighed against everything else, and hand the decision about future borrowing to the people who would pay for it.[97]

9. What that ranking does and does not measure

A fair objection to the list in Section 8 is that it compares things that are not really alike. When a family buys a Meadowlark home, the family pays most of the construction cost through its own mortgage, and the public only covers the difference. When the public builds an apartment building, the public pays for the whole thing upfront and gets some of it back through rent. Those are different arrangements, and the objection is correct. It is worth explaining what the ranking actually measures.

Someone has to pay the full cost of building a home. The subsidy figure only measures **the public share of that cost**, not the cost itself. At Meadowlark the total cost was about $721,000 per home, buyers financed about $569,000 of it through their mortgages, and the public covered $137,000, which is a public share of about 19%. At Voodoo the total cost was about $1.256 million per apartment and the public covered about $955,000 of it, which is a public share of about 76%.

Splitting the difference between those two figures shows what is really going on. If Voodoo had been built at Meadowlark's cost but financed the same way Meadowlark was, the public cost would have been about $239,000 per unit. So of the roughly $818,000 difference between the two projects, about $102,000 comes from higher construction cost, and about $717,000 comes from who financed the building. In other words, **roughly seven-eighths of what looks like efficiency in the ownership program is really the buyer's mortgage.**[91]

Two things follow from that, and they point in opposite directions.

First, the gap is actually wider than the headline suggests, not narrower. Meadowlark $137,000 is the end of the public involvement, because the owner then pays for taxes, insurance, and maintenance forever and the public only administers resales. Voodoo $955,000 is followed by about $16,700 per unit every year in operating shortfall, plus repair reserves, plus vacancy risk, plus a $23 million loan payment in 2032 with nothing saved toward it.

Second, and more important, **the ownership tool only reaches households that can qualify for a mortgage.** Meadowlark buyers needed roughly $145,000 of household income to carry an average price of $569,000, which is about 145% of AMI. Because the deed restriction set no income cap, the mortgage itself did the screening. Push the same tool down the income scale and the advantage disappears. A household at 60% of AMI can support a purchase price of roughly $197,000, so at Meadowlark's own cost the public gap would be about $524,000 per home rather than $137,000. At equal construction cost, subsidizing a home to buy and subsidizing an apartment to rent cost about the same at the same income level.[92]

So the honest way to read Section 8 is this. **The list is ordered by how much of the housing cost somebody other than the public has already paid.** Repricing an empty public unit costs almost nothing because the building already exists and the public already owns it. Buying a restriction is cheap because a private owner already paid for the house. A lease is cheap because the owner keeps the asset. Ownership is cheap because the buyer's mortgage covers about 80% of it. Modest rentals on public land are moderate because the land is free and rent covers part of the loan. Custom construction is expensive because the public pays for nearly all of it and keeps paying.

That reading makes the ranking more useful rather than less, because it explains why the order comes out the way it does. It also carries a warning. **Each tool is limited by how much the other payer can supply.** Restriction purchases run out when willing sellers run out. Ownership runs out at the income level where mortgages stop. Rentals depend on tenants having income. That is why the plan in Section 18 sizes each tool separately instead of simply buying the cheapest one until the money runs out.

10. Using zoning instead of cash

There is one more tool, and it does not spend public money at all. To see how it works, start with the problem it solves.

Meadowlark's cost the public only $137,000 per home partly because the land was already publicly owned. A private builder who has to buy land faces a very different picture. Land for multi-family housing in the East End is worth roughly $200,000 to $400,000 for each home it can support, which is more than the entire Meadowlark subsidy.[93] So a builder who buys land at market price and then sells homes at Meadowlark prices faces a gap of roughly $350,000 to $550,000 per home. Paying that gap in cash would fail the break-even test in Section 8. **Asking private builders to deliver Meadowlark-priced homes on land they bought at full price, using public cash to close the gap, does not work.**

But the East End has one unusual feature. Of the roughly 20,250 acres in the East End planning area, only 476 acres are designated for multi-family housing, and those are already mostly built. Everything else is zoned at one home per 35 acres.[51] That means almost every multi-family home requires the public to grant permission through a rezoning or a Planned Unit Development. **The public is not subsidizing land value in the East End. It is creating essentially all of it.**

That points to the tool. Instead of paying cash, the public grants extra density, and requires that the extra density come with permanently restricted homes. Roughly, a builder buys land at its unentitled value of perhaps $50,000 to $80,000 per eventual home rather than $200,000 to $400,000, the public grants the density, a fixed share of the homes are deed-restricted before construction starts, and the market homes carry the land cost and the profit for the whole project. At corridor construction costs, that arithmetic supports restricted shares in the range of

30% to 50%.[94] The rate is high by ordinary standards, and ordinary for resort towns granting density from a very low starting point.

Four forms of this tool are worth considering, and the region has already used one of them.

- **A published inclusionary schedule.** A public table showing that this much granted density requires this many restricted homes on these terms. Predictable rates get priced into what builders pay for land, which is exactly where the cost should land. Negotiating each project separately instead invites the trading that has produced weak results elsewhere.
- **Public entitles, then conveys.** The public uses or acquires land, grants the entitlement itself, and then sells or ground-leases the site to a private builder with the restrictions already recorded. The builder takes the construction risk and earns a normal return, and the public keeps the entitlement value as a permanent restriction rather than as cash. This is not hypothetical. It is what Meadowlark was, built with a private partner, and the same partner is doing early work at the Alexander parcel near Ilium now.
- **Ground lease or land trust.** If the public keeps the land and leases it for a nominal amount, the buyer purchases only the building. That takes $200,000 to $400,000 out of the price without spending a dollar on a buy-down, and it is the most efficient way to reach Meadowlark prices on land that had to be purchased.
- **Fee relief at the margin.** Waived tap fees at Voodoo were worth about $37,000 per unit, and adding permit and impact fee relief might reach $50,000 to $80,000. That is real money and it costs no appropriation, but it closes about a tenth of the gap rather than the whole gap.

One constraint limits all of this, and it is not financial. The Region shared systems are nearly full, as Section 11 describes. Scattering upzonings across the East End would spend the last of the sewer capacity to produce workforce housing, which is exactly the trade this report says should be made on purpose rather than by accident. The sensible place to aim this tool is the Highway 145 corridor at Ilium, Alexander, and Society Turn, where Community Housing zoning already exists, the new treatment plant will sit next door, the sites are outside the box canyon, and intersection work is already being studied. Inside Telluride itself, the conclusion in Section 6 still holds, which is that buying restrictions beats building.

One honest limit is worth stating. Meadowlark-style ownership serves households at roughly 130% to 150% of AMI, so it keeps workers here rather than housing the people waiting in line. It should be sized to documented retention need. It does have one property no other tool has, though. Because it is paid for out of land value rather than tax money, it does not compete with the community housing fund at all, which makes it the only tool that adds workforce housing without spending public dollars. It still spends infrastructure capacity, so it still has to be counted.

11. What the shared systems can handle

Every additional household draws on four shared systems. Here is where they stand, according to the engineering and regulatory records those systems produced themselves.

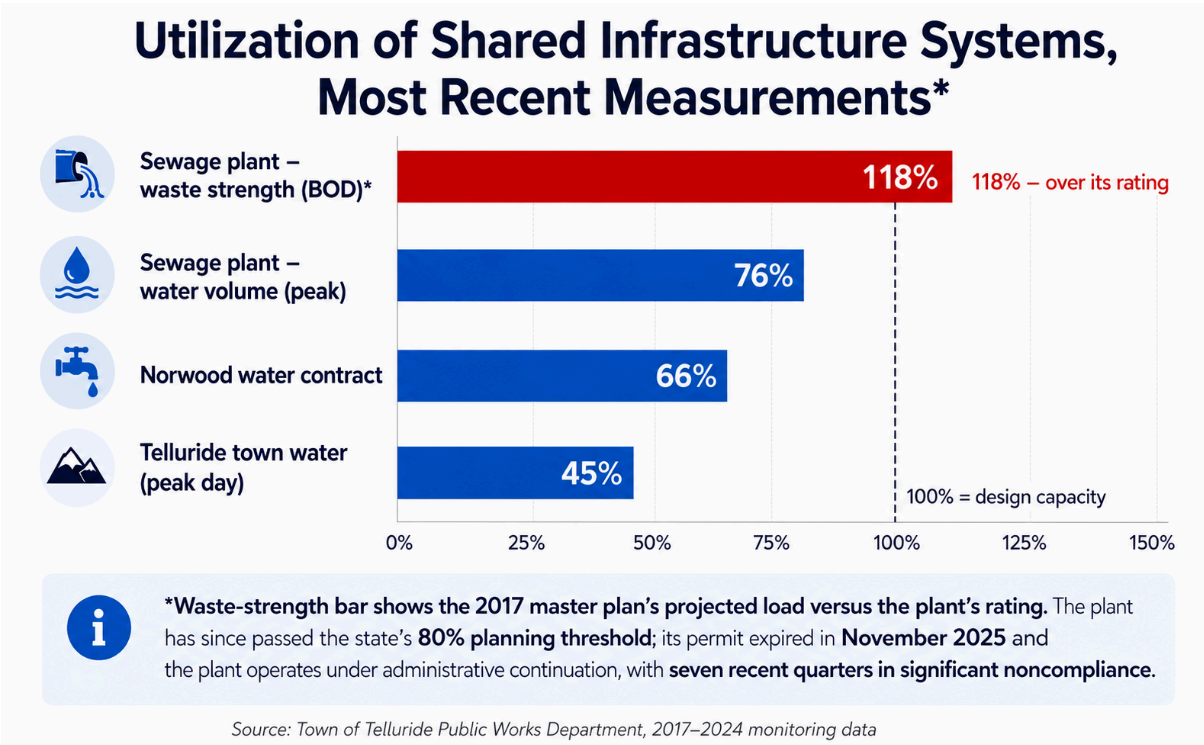


Exhibit 7. How full each system is. Sewer data from the 2017 master plan, federal compliance records, and 2025 Town's records.[35] Norwood from SGM engineering studies.[42] Telluride water from the Town's Water Efficiency Plan.[41]

11.1 Sewer

The regional treatment plant that serves Telluride, Mountain Village, and nearby communities runs out of capacity to handle waste strength before it runs out of capacity to handle water volume. It has passed the state 80% planning trigger, its discharge permit expired in November 2025 and continues on administrative extension, and federal compliance records show significant noncompliance in seven of the last thirteen quarters.[35] An attempt to expand the plant in 2024 was cancelled when the price at 30% design came in above $133 million for only about 0.2 MGD of added capacity.[36] The governments have since signed an agreement to build a new 2.67 MGD plant near Ilium, with a new Sewer Authority required by July 1, 2028. Its cost has not been published.[37]

The deeper problem is the site itself. The existing plant sits on 3.24 acres with only about 2.5 usable, and restricted expansion space appears on the towns' own list of challenges. The rejected retrofit would only have bought capacity through 2047, and it would have required rebuilding around a plant that had to keep operating.[61]

11.2 Turning gallons into people

Sewer capacity is the one regional limit that converts directly into a number of people, so the arithmetic is worth showing. Treatment plants are sized two ways, by how much water they can handle in millions of gallons per day, and by how strong the waste is. In standard planning, each person in the service area, whether resident or visitor, produces roughly **70 to 100 gallons a day** once household, hotel, restaurant, and commercial flows are averaged together. A hotel pillow counts about the same as a resident. A restaurant seat or a brewery produces waste that is several times stronger per gallon than a house, which is why this plant hit its strength limit first.[60]

Now apply the conversion. The existing plant rating of 2.1 MGD works out to roughly **21,000 to 30,000 people present at peak**, and the towns report that festivals push up to 24,000 visitors onto the system on top of residents, which is exactly when the plant struggles.[61] The new plant is planned at 2.67 MGD, which is about 27% more volume. Set against current peak flows of about 1.6 MGD, that leaves roughly **1.0 to 1.1 MGD of headroom, or room for perhaps 10,000 to 15,000 more people at peak, across every use and every town the plant serves, for the next generation.**[62]

Then subtract what is already committed. Two five-star hotels, the Society Turn project with up to 125 rooms and a hospital and about 188,000 square feet of commercial space, 70 to 100 apartments planned at Ilium, and 121 employee homes at Society Turn all draw from that same headroom before any future proposal is even considered. **The plant sizing decision the new Sewer Authority must make by July 1, 2028 is therefore not an engineering detail. It is the decision that sets how much this Region can grow, it will function as the real ceiling for the next thirty years, and it deserves to be debated as exactly that.**

11.3 Roads

In town, the intersection of Davis Street and Colorado Avenue already operates at LOS F during peak periods, with average delays of 174 seconds that are getting worse.[38] Out in the region, the two intersections that connect the East End to the highway network, which are the Society Turn roundabout and Last Dollar Road at Highway 145, are projected to fail on ordinary background traffic growth alone within the planning horizon. One large development moves that failure into this decade, and fixing either intersection pushes the load onto the other one.[39]

11.4 The gondola

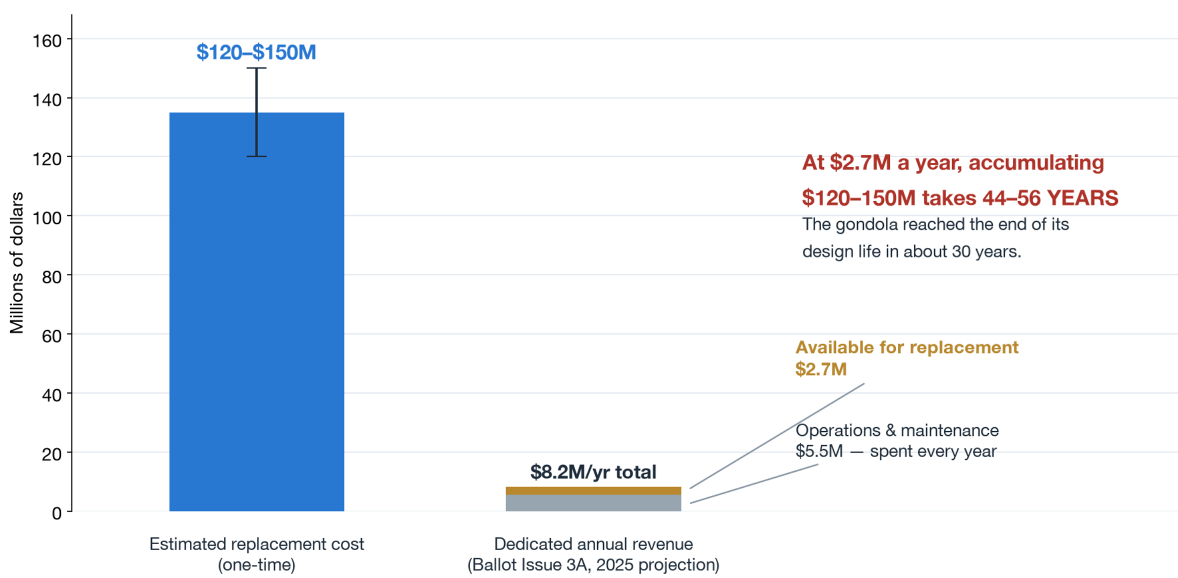
The gondola has connected Telluride and Mountain Village since 1996, free to ride, and it is nearing the end of its service life. The agreements that operate and fund it expire on December 31, 2027, and replacing it is estimated at $120 to $150 million.[40]

In November 2024 voters in the SMART transit district approved Ballot Issue 3A, a new sales tax and mill levy increase to pay for gondola capital improvements **and** its operation and maintenance, by 1,956 votes to 1,758. The required TABOR notice projected $8.2 million of revenue in 2025, an increase of $5.2 million over what the district expected without the measure.[70]

That $8.2 million is not available for replacement. Because the measure pays for operations as well as capital, and **operations and maintenance take about $5.5 million of it every year, only about $2.7 million a year is left toward a replacement that costs $120 to $150 million.**[70] At that rate, saving up the replacement cost would take **44 to 56 years**, for a system that reached the end of its design life in about thirty. The dedicated money therefore covers roughly 2% of the replacement cost each year rather than the 5% to 7% the gross figure suggests.

The funding is also being challenged in court. An election contest argued that the ballot language and TABOR notice misled voters about what they were being asked to pay for. The district court dismissed the contest in August 2025, holding that the language was not clearly misleading, and the case is now before the Colorado Court of Appeals, with briefing finished in July 2026 and a decision still pending.[71] Until it is resolved, **the only dedicated replacement funding the Region has rests on an election decided by 198 votes and on a ruling that has not been issued**, and no backup funding plan has been published.

The gondola funding gap: what the dedicated tax actually leaves for replacement



Sources: Ballot Issue 3A TABOR notice (2025 projected revenue $8.2M, an increase of $5.2M over revenue expected without the measure), as recited in the district court order in the election contest; operations and maintenance share per SMART budget. The measure funds both operations and capital. Replacement estimate $120–150M; current operating agreement expires Dec 31, 2027.

Exhibit 8. How the Ballot Issue 3A money divides, set against the replacement estimate. Sources: TABOR notice figures as recited in the district court order, operations share per SMART budget, and replacement estimate and agreement expiry per SMART district records and the cost-sharing agreements.[40,70]

Planning continues in the meantime. Under a supplement to the 2023 cost-sharing agreement effective January 1, 2026, the gondola partners adopted a **$2.46 million development budget for 2026**, half carried by SMART and a quarter each by Telluride and the Mountain Village entities, most of it for project development services.[72] The project as currently imagined runs six stations from Oak Street in downtown Telluride to the Mountain Village Center, and SMART asked for proposals in April 2026 to assess the condition of the existing system.[69] For capacity purposes the gondola behaves the same way the sewer plant does. It is a fixed, growth-driven capital item whose replacement bill arrives on its own schedule, and the money for it is neither enough nor certain.

11.5 Water

The Town of Telluride water system is the one system with real room to spare, with peak-day demand of 0.90 MGD against roughly 2.0 MGD of treatment capacity and a designed path to expand.[41] Norwood is the opposite case. Its firm supply is a single 300 acre-foot contract that is roughly two-thirds committed and projected to be fully used up between 2036 and 2042, and its treatment plant approaches capacity on the same schedule.[42] Any proposal to move workforce housing demand to the West End draws on that fixed supply.

11.6 Evacuation

Telluride sits in a box canyon with one road in and out. The County adopted 2023 hazard mitigation plan calls wildfire evacuation a huge concern, notes that festival crowds triple the number of people who would need to leave, and lists a second exit road for Mountain Village among its official mitigation actions.[43] No study has ever calculated how long it would take to clear the canyon at any population level. Other communities have shown this can be done and that it holds up. Sanibel, Florida based its adopted build-out limit on hurricane evacuation clearance time, and that framework survived a legal challenge.[44]

12. How housing and growth feed each other

Workforce housing and growth are connected through a cycle that is well documented. Housed workers make it possible for businesses to expand, expansion creates more jobs, and those jobs create more housing need. Studies of resort economies put the extra service employment at roughly 15% to 35% for each housed household. Our own separate model, built from measured data on how much paid work a home creates and how much residents spend locally, produces a housing-need multiplier of 1.10 to 1.35, which is the same answer by a different route.[45,76] The cycle is also written into local law. The Town code assumes 2.5 jobs for every 1,000 square feet of new commercial space and requires housing for 40% of them, so every approval adds unhoused workers by design.[46]

Fifty years of experience in other resort towns covers the full range of outcomes. Aspen and Pitkin County built the largest program in the United States at more than 3,100 units without limiting growth, and they still bring in about 7,500 workers a day.[48] Whistler capped its total resort capacity first and then built housing toward a fixed target, and it now houses 84% of its workforce locally, which is the best result in the industry.[49] Big Sky, Montana built no comparable program and brings in about 80% of its workforce by highway.[50]

12.1 What is already under construction

Growth here is not a hypothetical. **Four Seasons Telluride** in Mountain Village includes 26 private residences priced from $4 million plus 43 hotel residences, with five-star service levels and no on-site employee housing identified in its materials.[63] **Six Senses 109R** in Village Center includes 50 guaranteed hot-bed lodge units, 31 lodge units, 20 condominiums, and about 26,000 square feet of commercial space, with 20 on-site employee units, 18 of which are dormitory rooms of 306 to 408 square feet.[64] **Society Turn**, which is approved with road work underway, allows up to 125 hotel rooms, about 188,000 square feet of commercial and office and flex space, a future hospital, and 91 to 121 employee homes.[65]

At normal luxury hotel staffing levels, the two hotels alone suggest **200 to 400 new service jobs against on-site housing for perhaps 25 to 40 workers**.[66] Each project was measured against its own traffic and utility study, while the corridor studies show the gateway intersections failing on background growth alone. Each conclusion is defensible on its own, and together they cannot all be true. No cumulative ledger exists that would let anyone see the sum, which is the gap Recommendation R2 closes.

12.2 The bill one town sends the others

The two Mountain Village hotels make this measurable, because neither Telluride nor the County had any authority over approving them, yet most of the housing, road, and sewer consequences land region-wide. The method is a chain of five steps. Start with the jobs created, convert them to workers because resort workers hold about 1.2 jobs each, convert workers to households at 1.4 to 1.8 workers per household, subtract the workers housed on site, and multiply by what the Region actually spends in public money for each below-market home.[73]

Applied to the two hotels, 200 to 400 new service jobs become roughly **70 to 220 unhoused worker households, or about 140 in the middle of the range**, after crediting the only on-site housing either project provides. These are service wages, mostly between 60% and 100% of AMI, which is the level where demand is deepest and where the Region has shown a public gap of $145,000 to $352,000 per home at Sunnyside-style construction and $678,000 to $1,090,000 at Voodoo-style construction. The resulting public housing bill comes to **roughly $55 to $100 million in the middle of the range**, with honest bounds from $10 million to $240 million.[74]

Divided by the roughly 124 hotel keys, that works out to **$450,000 to $800,000 of unfunded public housing obligation built into every luxury hotel key, or about $200,000 to $360,000 for every guest pillow.** The same two projects also draw on the shared systems directly, at roughly 0.05 to 0.08 MGD of sewer demand, which is **about 5% to 8% of the entire generational**

headroom of the new plant, plus several hundred daily vehicle trips at the failing Society Turn intersections.[75]

The point is not that these projects are improper. The point is that **the bill exists whether or not anyone writes it down.** A standing one-page project bill published for every approval across the Region, showing jobs by wage level, net unhoused households, public capital at real delivery costs, sewer gallons, and peak traffic trips, would have put these numbers in front of every affected government before the decisions were made. The estimates above are ranges marked [E], and they should be replaced by the projects' own mitigation filings once those become public, including any credit due under the Mountain Village code.

12.3 Handling the hotel workers who are already coming

Both hotels are approved and under construction, so the 70 to 220 worker households will arrive on the operators' schedule whether or not the Region prepares. This is the one growth event the need-catching goal cannot screen out, because the decision was already made by one jurisdiction. The practical question is how to absorb a known arrival at the least public cost and with the least disruption to people already living here. Five measures, in order of how much they accomplish:

1. Put the bill where it belongs. Luxury operators budget for staff housing in every comparable market, and the Region still holds some points of leverage, including final certificates of occupancy, license approvals, and any future amendment either project requests. The goal is signed agreements before opening, with operator-funded housing commitments sized to actual staffing plans, using the mitigation filings to replace the estimates above. Every worker housed at operator expense is a worker the public never pays for.[82]

2. Lease before building. The fastest tool that matches a hiring ramp is the master lease. The operators, or the housing authority funded by them, lease blocks of existing homes across the region at roughly $5,000 to $15,000 per bed per year. Roughly 140 households could be absorbed for $0.7 to $2.1 million a year, which is a minor operating line for two five-star hotels and a rounding error against a $55 to $100 million public construction alternative. Leases can be ended if hiring falls short, they add nothing to the sewer plant, and they start working the month they are signed.[78]

3. Build seasonal housing on site. The 18 dormitory rooms at Six Senses are the honest product for seasonal service staffing, and that model can be extended on operator-controlled land in Mountain Village, which houses peak-season staff where they work and keeps them off the highway entirely. The public role here is speed in permitting rather than money.

4. Use transit to replace some of the beds. Part of the workforce will live down valley and in Montrose no matter what policy says. What the community actually feels is whether those workers arrive one to a car through the failing intersections. Employer-funded service timed to shifts, including late evening returns, a guaranteed ride home, universal passes, park-and-rides at Placerville and Norwood, and vanpool coordination, costs roughly $2,000 to $5,000 per worker each year, which is about a tenth of the yearly cost of a newly built bed.[77]

5. Time the corridor homes that are already approved. The 121 employee homes at Society Turn and the 70 to 100 planned at Ilium are the built capacity nearest the new jobs, outside the box canyon, and next to the future treatment plant. The public job here is timing and pricing, with completion tied to hotel openings, rents set to service wages at 60% to 100% of AMI, and operator lease commitments that guarantee the homes fill without public risk.

What the Region should avoid is equally specific. It should not build expensive public housing in the hotels' name, because a second Voodoo justified by this arrival would add a below-break-even response to the original problem. It should not accept discounted mitigation buyouts based on outdated fee schedules. And it should not expand the general housing program on the hotels' account. Handled this way, public exposure to a $55 to $100 million problem shrinks to **roughly $5 to $15 million** of targeted restriction purchases, transit money, and administration, with the rest carried where it started.[82]

13. How much this place can hold, and where housing should go

Regional carrying capacity is set by whichever limit binds first. On the record we assembled:

- **Land.** Of roughly 20,250 acres in the East End planning area, 476 acres are designated for multi-family housing and are largely built out. The rest is zoned at one home per 35 acres. More multi-family capacity is therefore a policy decision through rezoning or public land, rather than something the land already allows.[51]
- **Sewer.** At the limit now. Relief requires a nine-figure plant and a new regional authority by 2028.
- **Roads.** The gateway intersections fail within the planning horizon on background growth alone.
- **Water.** Adequate in Telluride, approaching exhaustion in Norwood.
- **Evacuation.** Never measured.

Colorado law rules out the bluntest tool, which is an annual cap on residential permits.[52] The approach that holds up legally, and that peer communities have proven, combines four things: a published parcel-by-parcel build-out ledger on the Teton County model,[53] a per-person accounting unit for infrastructure load like the Whistler bed-unit,[54] adopted infrastructure thresholds that trigger review, and, most defensibly of all, a safety-based limit grounded in evacuation clearance time on the Sanibel model.[44]

Count pillows, not just homes. Most of what is already committed is visitor beds, and visitor beds use sewer capacity, road capacity, gondola trips, and evacuation time exactly the way housing does. Yet they appear nowhere in the housing debate. That is why the Whistler ledger counts bed-units rather than dwellings, and why the evacuation study in Recommendation R1 has to be run at festival-plus-hotel peak population rather than at resident population.

13.1 Where new housing should go

Read together, the constraints draw a map. **The Highway 145 corridor at Ilium, Alexander, and Society Turn is the sensible place for the Region to grow.** Community Housing zoning is already in place at Alexander, the land is publicly owned, which is the single factor that made Meadowlark inexpensive, the new sewer plant will sit next door, the sites are outside the box canyon so they do not add to the evacuation problem, and the intersection work at County Road 63L is already being studied. The 121 employee homes at Society Turn add a second cluster beside the hospital and hotel jobs.

Inside Telluride itself, the better move is to buy restrictions rather than build, because delivery costs of $1.26 million to $3.3 million per unit and an unmeasured evacuation risk both argue against major in-town construction. The West End stays conditional until Norwood's water problem is solved, as Section 13.2 describes. Montrose remains the safety valve, understood honestly as a decision to make people commute.

One sequencing rule keeps the strategy honest. Concentrating development in the corridor loads the same intersections the studies say are already failing. So infrastructure and the capacity ledger come first, and entitlements draw against them rather than running ahead of them.

13.2 The Norwood option, water first and then transit

Norwood has the only large supply of inexpensive, developable land in the Region, and its water system is committed to roughly two-thirds of a single 300 acre-foot contract. The obvious fix, which would be transferring Telluride water rights to Norwood, is mostly the wrong tool. **Norwood already holds a decreed right to divert 5 cubic feet per second from the San Miguel River that it has never built.** What it lacks is not paper water but infrastructure, meaning the intake, the pumping needed to lift water from the canyon up to Wright Mesa, a transmission line, and a treatment plant that is already near capacity.[67]

Where Telluride water genuinely helps is in **firming up dry years**. The Norwood river right is junior, so it could be cut off in a drought, which is exactly when its reservoir supply is weakest. Telluride holds senior stored water at Blue Lake, more than 1,300 acre-feet, upstream of where Norwood would divert. A commitment to release stored water in curtailment years would firm up the river right at little cost to Telluride in normal years. The structure that would work is a **water-for-housing agreement between the governments**, much like the 2025 sewer agreement. The governments would share the cost of the diversion package, Telluride would provide the dry-year commitment, and Norwood would commit a defined share of the unlocked capacity to workforce housing using Meadowlark-style eligibility rather than the income-capped design that stranded Pinion Park.[68]

If the water gets solved, the road has to work too. SMART already runs a commuter bus between Norwood and Telluride, taking about 65 to 70 minutes each way at a fare of $2, and it is lightly used.[69] The fixes are ordinary transit practice and cheap compared with construction subsidies. They include schedules built around hospitality shifts with late evening returns, which is the gap that forces workers to drive, a guaranteed ride home policy, universal employer-paid passes, park-and-rides at Norwood and Placerville, winter-capable equipment for Norwood Hill, an on-demand feeder within Wright Mesa so riders do not need a car to reach the stop, and onboard internet that turns the ride into usable time. The accounting rule from Section 6 applies here as well. The transit subsidy per rider belongs inside the comparison of cost per worker housed, where even generous service costs a fraction of a $1 million construction subsidy.

14. Homes to buy, public employees, and a cycle worth breaking

Two questions sit at the edge of everything above and need their own treatment. Where does helping people buy homes fit into a program aimed at current need, and how should the public treat below-market homes lived in by the employees of the governments paying for them? Both lead to the same place, which is a self-feeding cycle that the Region's largest housing developer has recorded in its own budget documents without naming it.

14.1 Where buying fits

Rental programs and ownership programs solve different problems and should be judged against different standards. The rental line described in Section 5, with roughly a thousand households waiting, is a problem of access, meaning households that cannot get local housing at market prices at all. Ownership programs do not serve that line, because their buyers, with few exceptions, already have housing here.

What ownership buys is staying power. It turns a mid-career household that would otherwise leave into a long-term resident, and because Meadowlark-style restrictions require continued local employment, the rental unit that household leaves goes back into the pool. Both effects are real, and neither shows up in rental demand data. So ownership should be judged against turnover and recruiting costs, and against the other tools in Section 8, rather than against the rental waiting list.

14.2 The line for public money in ownership programs

Public cash for homes to buy raises a fairness question that rentals do not. A household buying at $833,586 would not be considered a subsidy candidate in most of Colorado, and at the top of the Region ownership programs a helped buyer may earn close to or more than 200% of AMI. Described as affordability policy, that is hard to defend.

Described accurately, though, it is usually not what the public bought. At Meadowlark the public roughly $137,000 per home bought a permanent deed restriction and a 4% annual cap on price increases, on housing that did not exist before.[56,57] The home leaves the open market for good, and the discount does not become wealth the first buyer can take away. It stays attached to the deed, holding the home within reach of workers for every buyer after that. Read that way, subsidized ownership is a restriction purchase, which is tool number two in Section 8, at a premium for adding new housing, and the first buyer income matters much less than it appears to.

That reading only holds if three conditions are met. Where they are not, the fairness objection is correct and the money is a transfer of public wealth.

- **The value has to stay captured.** The price cap has to be tight enough, and the restriction durable enough, that the subsidy stays in the home permanently. Public money in homes with no cap, or a weak one, moves public wealth onto a private balance sheet at the first resale.
- **The public share has to be flat.** The public contribution should be a fixed amount per restriction, in the range of roughly $120,000 to $150,000 at today costs, which is about twice the Vail benchmark to account for new construction. A subsidy that grows to bridge the price of an expensive home is compensation policy rather than housing policy, because it sends more public money to higher-income buyers, which is the opposite of the stated purpose.
- **Rentals come first.** General housing money serves the documented rental line first. Ownership follows demonstrated retention need rather than jumping ahead of the access problem it does not solve.

Applied to the record, those tests allow Meadowlark, rule out the Pinion Park design described in Section 5.2, and rule out a deeply subsidized expensive version. They also draw a distinction the record supports. Deed-restricted homes at 150% to 200% of AMI created through a builder obligation, such as an inclusionary requirement or a density bonus, raise no public spending question at all. The issue is specifically public cash.

14.3 Who is in the middle income range

The households served by middle-range programs are not high earners. Using 2024 payroll data, no major private sector in the county averages above the one-person 100% AMI line of $83,700. Hotels and restaurants average $49,332, skiing and recreation $38,476, retail $45,086, health care $62,520, and construction $71,456. Only finance at $189,502 across 82 jobs and professional services at $131,126 across 247 jobs clear that line on one income.[7] So the range between 100% and 150% of AMI is filled mostly by **two-earner households in stable careers.**

Local government is the county single largest source of that kind of household, with 809 jobs, or 13.3% of all county employment, at an average of $64,178, and public education at

$53,953.[83] A teacher married to a deputy lands at roughly 105% to 125% of AMI, and two town staff at roughly 120% to 135%. In ownership programs the concentration is stronger, because qualifying for a mortgage at prices above $350,000 favors steady paychecks and long job tenure, and because the programs award preference directly. Ten of the 29 Meadowlark homes, or 34%, were set aside for essential organizations including the fire district and the school district.[56]

Where public employee households live in below-market homes, the arrangement works partly as pay. That is not a criticism of the practice. Public employers throughout the mountain west house their workforces, and a town that cannot house a plow driver, a building inspector, or a teacher cannot deliver services. It is an observation about bookkeeping. A benefit that works like pay should be measured and reported like pay.

14.4 How much that benefit is worth

The right measure is not subsidy per unit, which is what the public spends, but the yearly value the household receives, adjusted for taxes and stated against salary, the way a pension contribution or a health premium would be. The two kinds of housing work differently.

Rentals lower monthly cost. A single teacher earning $53,953, which is about 64% of the one-person AMI, qualifies for a lower Shandoka tier at roughly $1,050 to $1,200 a month against an estimated market one-bedroom of about $2,400. The difference is **$14,000 to $17,000 a year, untaxed**, which is worth roughly $19,000 to $23,000 of pre-tax salary, or **35% to 43% on top of the published salary.**[84] For a two-earner household near $120,000 in a two-bedroom, the dollar benefit is similar while the percentage falls to about 17%.

Ownership builds wealth rather than lowering monthly cost. At a Meadowlark three-bedroom priced at $833,586, the mortgage, association dues, taxes, and insurance total about $5,300 a month, which is close to what an equivalent home rents for. Month to month the benefit is small. Almost all of its value is in **equity building up on an asset the household could not otherwise have bought**, at about $33,000 a year of capped appreciation plus about $11,600 of early principal paydown, so **$40,000 to $45,000 a year of net worth**, against a one-time public cost of about $137,000, which is roughly $8,000 a year spread out.[85] This works like a pension contribution, and unlike a pension contribution it appears in no budget document.

The gap between public cost and household benefit is itself a useful rule. Meadowlark delivered about $40,000 of yearly household value for about $8,000 of yearly public cost, while Voodoo delivers roughly $15,000 of rent relief for about $45,000 of yearly public cost. **Value delivered per public dollar varies by more than twenty times across tools**, and it tracks the ranking in Section 8 closely.

14.5 The cycle inside the housing program

The Town of Telluride is at the same time the Region's largest housing developer, one of its largest employers, and the body that sets both salaries and rents. Its own budget records show what that produces over ten years.

Measure	2015	2025	Change
Total spending, all funds	**$36.38M**	**$99.90M**	**up 175%**
Authorized full-time positions	**70.63**	**at least 99.6**	**up 41%**
General Fund personnel cost	**$5.49M**	**$11.58M**	**up 111%**
Housing department positions	**5.00**	**8.48**	**up 70%**
Housing debt outstanding	**not applicable**	**$81.7M**	**none voter-approved**

The 2025 budget book does not print a town-wide staffing total, so the figure above adds up the labeled parts of its staffing chart and the real total is higher.[86] Alongside those numbers, the Council adopted goals state, twice, that the Town should **continue to work toward the goal of housing 30% or more of Town of Telluride employees in dedicated Town employee units**, together with the goal of being the employer of choice in the region. Neither statement appears in the 2015 or 2020 budget books, which say nothing at all about housing Town employees.[87]

Four separate things connect those facts, and each one feeds itself.

- **Staffing.** Running and building a housing portfolio takes staff, and the housing department has grown by 70%. Those employees work in a market where ordinary wages do not cover ordinary rents, so they become candidates for the housing they administer. **The program creates a measurable share of its own demand.**
- **Service population.** Every housed household creates more local service jobs, which produces the 1.10 to 1.35 housing-need multiplier described in Section 12. That applies to public employee households exactly as it does to private ones.
- **Pay.** When housing costs make hiring hard, an employer can respond with salary or with housing. A $20,000 salary increase appears in a published schedule, competes against other uses of the same budget, and gets examined in a public meeting. A housing benefit worth the same amount appears in no compensation document and competes against nothing. **The two paths to the same result face very different scrutiny, which reliably favors the one nobody measures**, and every unit committed that way makes the portfolio bigger, which makes the department bigger, which adds more employees who need housing.
- **Revenue.** The portfolio does not cover its own loan payments. Coverage across the analyzed projects runs about 70%, so roughly $1.1 million a year has to come from tax revenue that depends in turn on visitor spending and commercial activity, which require workers, who require housing.[88] **The financing arrangement makes the Town financially dependent on the growth its housing program is meant to catch up with.**

The way the goal is written is what makes the cycle accelerate. The adopted goal is a percentage of a workforce that keeps growing. Every position added to the payroll adds about

0.3 units to the housing obligation, and every unit added makes the department bigger, which adds positions. A goal written that way has no finish line. It moves further away as the organization grows, so it can never be reached and closed out. This is the same problem the report identifies in the Region's broader housing target in Section 2, where need is defined as a share of a growing quantity instead of as a fixed number, showing up again at the scale of a single town.

The size of it is not disclosed anywhere. No budget document states how many units Town employees currently live in, what the benefit is worth in dollars, or what it would cost to reach the 30% goal. Using the method in Section 14.4, housing about thirty employees is worth **$450,000 to $600,000 a year in untaxed pay, or roughly 3% to 4% of the Town $15.18 million all-funds labor cost**, and it is reported nowhere. The money needed to build those thirty units ranges from **about $4.1 million at Meadowlark-style delivery to about $28.7 million at Voodoo-style delivery, which is the same thirty employees housed for a difference of $24.6 million**, with no published statement of which figure the Town intends to spend.[89]

14.6 The Carhenge proposal

The next turn of this cycle is already in front of the Town. The **Carhenge Lot Redevelopment** would turn a Town-owned parking lot at the base of Lift 7, which is one of the last large publicly held development sites inside Telluride, into about **225 deed-restricted homes**, roughly 9,900 square feet of commercial space, and about **370 underground parking spaces**. The Town, working with Design Workshop, took the concept through a Planning and Zoning work session in March 2026 and Historic and Architectural Review Commission work sessions in May 2026, with the formal applications still ahead.[90]

Three things about the proposal bear directly on everything above. **On size**, 225 homes would add nearly as much housing as the Town's entire existing 251-unit portfolio in one step. The department that runs that portfolio currently has 8.48 positions for 185 rental units plus a boarding house, so roughly doubling the portfolio implies roughly doubling the department, and each added position is itself a household needing housing in this market. At that scale the proposal is not simply a project inside the cycle described above. It is the largest single thing that would speed the cycle up.

On cost, the Town has published no estimate. Using our model, which assumes about 150,100 square feet of residential and 9,900 of commercial construction at $1,000 per square foot, $10 million of land value, and $44.4 million of underground parking at about $120,000 per space, the project totals roughly **$214.4 million, or about $953,000 per home**.[90] That is within a few thousand dollars of what Voodoo's cost the public, and two to three times the break-even ceiling of $300,000 to $450,000 per bed described in Section 8. The parking alone, at about 21% of total cost, works out to roughly **$197,000 per home before a single square foot of housing is built**, which is the same pattern that led us to set aside the Shandoka Lot L proposal.

On proportion, Section 18 sizes the Region's entire need-catching program at about 250 to 400 beds for $15 to $25 million over ten years. At an average home size of roughly 725 net square feet, the 225 Carhenge homes work out to something like 290 to 340 bedrooms. **So one proposal would deliver about as many bedrooms as the entire regional program, at roughly ten times the cost.** Measured against the Town's own employee housing goal the arithmetic is just as stark, because housing thirty Town employees at Carhenge would use about $28.6 million of public money against about $4.1 million to house the same thirty at Meadowlark-style costs.

None of this is an argument against the site. Carhenge is publicly owned, which is the single factor that made Meadowlark inexpensive, and it sits at the base of a lift within walking distance of the gondola, which is genuinely good placement for cutting down on driving. Restricted housing there would serve the right households in the right place. Our objection is limited to the cost structure, meaning a $44.4 million underground garage inside a housing budget and a per-home cost at the top of everything the Region has ever built. **Separate the parking and pay for it as the transportation project it is, build to Meadowlark or Village Court standards rather than custom construction, and the same site at the same number of homes can pass.** As presented it does not, because it fails the break-even rule outright and triggers the parking exclusion before anyone even reaches the questions of whether cheaper tools were exhausted, what the evacuation risk is, and what its roughly 0.03 to 0.05 MGD draw does to the remaining sewer headroom.

14.7 Six ways to break the cycle

The cycle is built into the arrangement rather than being anybody mistake, and good intentions will not stop it. Six measures interrupt it, in order of how much they accomplish.

- **1. Price the benefit and put it in the pay conversation.** Publish what below-market housing is worth each year by employer type, and present it next to the salary schedule when pay is set. This forbids nothing. It simply makes the housing path and the salary path face the same scrutiny, which is the condition under which the pay mechanism stops favoring the option nobody measures. **This is the single most effective step, and it is nothing more than disclosure.**
- **2. Replace percentage goals with fixed numbers.** Change the goal from 30% of employees to a specific number of units adopted by resolution with a completion date. A fixed target can be reached, financed, and closed out. A percentage target cannot.
- **3. Match the money to who benefits.** Housing for a public employer's own workforce should come out of that employer's budget, where it competes directly against payroll, rather than out of the community housing fund. That keeps the community fund available for the private service workforce at lower incomes, who have no employer to turn to, and it makes each employer weigh housing against salary inside one budget.
- **4. Prefer tools that need no staff to run.** A purchased deed restriction adds no permanent positions, while a portfolio that gets built and operated adds positions forever. The cheapest

tools in Section 8 turn out to be the cycle-breaking tools too, for a completely separate reason. **What the public chooses to build determines whether the program feeds itself.**

- **5. Count government hiring in the capacity ledger.** Public sector hiring creates housing demand the same way private hiring does. The ledger in Recommendation R2 should include each government own workforce growth, so that the Region's largest employers face the same accounting they apply to applicants.
- **6. Size debt to what the portfolio earns.** A portfolio covering only 70% of its loan payments needs subsidy forever from tax revenue that depends on growth. Bringing new projects up to covering their own costs, which is achievable at the delivery costs and prices described in Sections 6 and 8, cuts the link between the housing program and the growth of the visitor economy.

Together these measures do not reduce the number of public employees who get housed. They make the number deliberate, the cost visible, the goal finite, and the funding source honest, which is the difference between a program that finishes and one that compounds.

15. Why broad zoning changes are not targeted policy

Proposals regularly appear to raise how much can be built on land across a whole zoning district, on the theory that more building capacity will produce more workforce housing. Some of these proposals attach a condition, such as requiring that half the homes be deed-restricted at up to 150% or 175% of AMI. The reasoning is understandable, and the tool in Section 10 works on a related idea. But a broad district-wide increase behaves very differently from a targeted one, for four reasons worth stating plainly.

First, the free-market share is usually where the value goes. When a district density limit rises for everyone, market builders gain capacity too, and market homes are what pay best. Unless the extra density is granted only for restricted homes, most of the new building capacity ends up producing houses at market prices. A requirement that half the homes be restricted only works if the extra density is worth more to the builder than the restricted homes cost. When those numbers are set wrong, builders simply take whatever density comes without conditions and skip the restricted homes entirely.

Second, market homes create the demand the policy was meant to fix. Every occupied home generates local service employment through upkeep and spending, as described in Sections 7 and 12. Large market homes generate the most. So a broad upzoning adds to the housing need at the same time it adds housing supply, and the restricted homes it produces are usually priced above the level where the newly created service jobs pay. The result is that the policy creates demand at 60% to 100% of AMI while supplying homes at 150% to 175%.

Third, the restricted homes land in the wrong price band. The record in Section 5 shows demand thinning above roughly 120% of AMI, and the Voodoo experience shows what happens above 140%. Homes restricted at 150% to 175% of AMI sit above the range that has already been tested twice and found thin.

Fourth, broad upzoning spends the scarcest thing the Region has. Money is not the binding constraint here, as Section 18 shows. Sewer capacity, road capacity, and evacuation time are. Using the arithmetic in Section 11.2, development at 15 homes per acre uses roughly 2,300 to 3,300 gallons of sewer capacity per acre per day. **On those figures, somewhere between 250 and 450 acres developed at that density would use up the entire remaining capacity of the new regional plant**, a facility the Region expects to fund at more than a hundred million dollars. A district-wide density increase spends that capacity on whoever applies first rather than on whoever delivers the most housing per gallon.

The difference between a broad upzoning and a targeted one is therefore not a matter of degree. A targeted policy grants extra density **only** for restricted homes, at income levels where demand is documented, on sites where the infrastructure exists, and in quantities measured against a published capacity ledger. A broad policy grants extra density to everyone and hopes some housing results. The first is the tool described in Section 10. The second is a growth policy with a housing program attached to it, and it should be evaluated as a growth policy.

16. The rules

The twelve rules below turn the evidence into a working method. They are meant to be applied in order, in a public meeting, to every proposal asking for public money, public land, extra density, or waived fees for housing.

Rule 1. Say which goal the project serves, before anything else.

Every proposal states in its opening section whether it houses the current workforce or supports growth. Choosing growth is a legitimate decision for elected officials to make, with the infrastructure obligations stated, rather than something that gets built into how a housing program is sized (Section 2).

Rule 2. Count first, build last.

The program target is the documented existing shortage plus the adopted number of commuters to bring home, published every year with a finish line (Section 5.3). No project gets approved against projected need. When the target is met, the program shifts to maintenance.

Rule 3. House existing jobs, not future ones.

Eligibility requires current employment in the school district with a minimum length of service. Priority goes to crowded and displaced residents first and current long-distance commuters second. Each bed has to change who fills a job that already exists (Section 7).

Rule 4. Work down the list in order.

Reprice empty public units, buy restrictions while sellers are available, lease homes for the flexible part of the need, and build modest homes on public land only for what is left over (Section 8). A proposal to build is also a claim that every cheaper option has been used up, and the record should show it. Where an option touches rents on existing public units, the bond covenants and the enterprise test are checked and published first (Section 8.1).

Rule 5. Do not pay more per bed than the bed gives back.

Housing one worker is worth $25,000 to $40,000 a year (Section 7). The yearly all-in public cost per bed has to stay below that, which in practice means a construction ceiling of roughly $300,000 to $450,000 per bed, and realistically the free-land, modest-construction category. Anything above that line makes the community poorer with every bed it fills.

Rule 6. Price where the demand is.

New below-market housing is priced at or below the equivalent of 100% of AMI, which is where the documented waiting lists are. Housing priced above about 120% of AMI has been tested twice by the market and found to have almost no extra demand (Section 5), so building it converts public money into empty units.

Rule 7. Keep eligibility windows wide.

Ownership restrictions follow the Meadowlark design, based on employment, with price caps and either no income limits or wide ones. Income caps set close to the price create the unicorn buyer problem and strand the homes, as happened at Pinion Park (Section 5.2).

Rule 8. Prefer beds that do not use infrastructure.

When two tools can house the same worker, the one that uses no sewer, road, or evacuation capacity goes first. Construction proposals state their gallons per day and peak traffic trips against the published regional headroom (Section 11.2).

Rule 9. Keep housing money separate from commercial mitigation.

Beds created with public money are not credited against commercial mitigation requirements and do not unlock additional commercial square footage. Allowing that turns workforce housing back into growth fuel and defeats Rule 1.

Rule 10. Publish occupancy every month, and end what stops filling.

Vacancies, waiting lists, and application counts by property, size, and tier, published monthly. Any category empty more than 90 days triggers a pricing review. Tools are chosen so they can be reversed where possible, because a program aimed at current need is meant to end.

Rule 11. Hold the line on ownership subsidies.

Public cash for homes to buy is a fixed amount per restriction in the range of roughly $120,000 to $150,000, paired with a durable price cap that keeps the subsidy in the home permanently, and it comes after the rental line rather than before it (Section 14.2). A subsidy that grows to bridge the price of an expensive home is compensation policy and gets evaluated as such.

Rule 12. Price and publish employer housing benefits.

Where units go to a public employer's own workforce, the yearly value of the benefit is published by employer type and presented next to the salary schedule when pay is set, the goal is stated as a fixed number of units rather than a percentage of the workforce, and the cost sits in the employer's budget rather than the community housing fund (Section 14.7).

Reasons to reject a proposal outright

The following features are enough, on this record, to send a proposal back without further analysis.

- Custom in-town construction above roughly $500,000 per unit, which is below break-even before the doors open.
- Justification based on projected job growth, which makes it a growth proposal to be decided under Rule 1.
- Income caps set close to the qualifying price, which is the documented Pinion Park failure.
- Rental housing priced above roughly 120% of AMI, where demand has twice been shown to be absent.
- Structured parking inside a housing budget, which is the Lot L pattern. Parking is a transportation investment and should be priced as one.
- Permanent subsidies for seasonal or cyclical needs, where leases exist and can be ended.
- Demand evidence that consists only of consultant projections, when the Region has real waiting lists to cite.
- Public cash that grows to bridge the price of an expensive home rather than staying flat at the restriction value (Rule 11).
- Ownership help with no durable price cap, which lets the subsidy leave the home at the first resale.
- A staff housing goal written as a percentage of the workforce rather than a fixed number of units (Rule 12).

17. The scorecard

One page, applied in a public meeting to every proposal asking for public money, land, density, or waivers. **Ten yes answers out of twelve are needed to proceed, and any reason for**

rejection from Section 16 ends the review no matter what the score is.

#	Question	Answer
1	Does the proposal say which goal it serves, and is it current need (Rule 1)?	Yes / No
2	Does it count against the published shortage rather than a projection (Rule 2)?	Yes / No
3	Will every bed house a current local worker with the required tenure (Rule 3)?	Yes / No
4	Has every cheaper option on the list been used up (Rule 4)?	Yes / No
5	Is the yearly public cost per bed below the $25,000 to $40,000 return (Rule 5)?	Yes / No
6	Are rents or prices at or below the 100% AMI equivalent (Rule 6)?	Yes / No
7	Are eligibility windows based on employment and kept wide (Rule 7)?	Yes / No
8	Is infrastructure use zero, or stated and small against headroom (Rule 8)?	Yes / No
9	Is it walled off from commercial mitigation credit (Rule 9)?	Yes / No
10	Does it include monthly occupancy reporting and an end point (Rule 10)?	Yes / No
11	If ownership: flat subsidy at restriction value with a durable cap (Rule 11)?	Yes / No
12	If for public staff: benefit priced, published, fixed target, employer-funded (Rule 12)?	Yes / No

18. Testing the rules against projects already built

The rules can be checked against what the Region has already done. Scored as written:[80]

Project	Score	What the rules catch

Meadowlark (2024)	**9 of 10**	**Public land, about $61,000 per bedroom, eligibility based on employment with no income limits, and 28 of 29 homes sold in two months. The one shortfall is that no occupancy reporting or end point was published. The Mountain Village council later concluded that 41 homes would have worked better than 29, because more homes spread the subsidy further.**
Village Court Phase 4 (2024)	**9 of 10**	**Modest construction, free land, about $45,000 of cash per bedroom, priced where the waiting list actually is, and the waiting list visibly moved. This is the model for the rental portion of the program.**
Pinion Park (2021 onward)	**5 of 10**	**Right goal and right price, wrong eligibility design. Income caps near the qualifying price combined with first-buyer financing nobody else can get left five homes unsold for five to twenty months with one qualification application received. This is Rule 7 exactly as written.**
Voodoo (2023 to 2024)	**3 of 10**	**Fails Rule 5 at about $955,000 of public cost per unit, fails Rule 6 because rents near 140% of AMI drew 1.2 applicants per unit and left December vacancies that required loosening eligibility, and fails Rule 10 because the vacancies built up unmeasured. This is the most expensive lesson in the record and the main reason this method exists.**
Shandoka Lot L (proposed)	**1 of 10**	**About $3.3 million per unit including a 900-space garage, which makes it a transportation facility inside a housing budget. Several reasons for rejection apply at once.**
Carhenge (proposed)	**4 of 12**	**A publicly owned, transit-adjacent site serving the right households, modeled at about $953,000 per home including a $44.4 million underground garage that is about 21% of the cost. Fails Rule 5 and triggers the parking rejection. Separating the parking and building to Meadowlark or Village Court standards would bring the same site and the same number of homes inside the rules. See Section 14.6.**

19. What the whole program costs, and when it ends

Sized the way Section 5.3 describes and delivered using the list in Section 8, the program to house the current workforce is specific and affordable. It means recovering the roughly 49 empty town units, which is about 70 beds at no capital cost, first through the eligibility and tier-access changes described in Section 8.1 and then through whatever repricing the bond covenants and the enterprise test actually allow, buying 40 to 60 restrictions as sellers appear at roughly $3 to $4 million, leasing homes as a flexible layer that expands and contracts with the season, and building 150 to 250 bedrooms at Meadowlark or Village Court costs for roughly $7 to $15 million. **The whole program comes to roughly $15 to $25 million over ten years, with a stated finish line.**[81]

For comparison, that is less than the public paid for the single Voodoo project, which was about $26 million for 27 apartments, and a small fraction of the $120 to $150 million gondola replacement or the nine-figure sewer program. What has limited regional housing policy is not money. It is which tools get used, because the highest-return tools have gone largely unused while the lowest-return tool absorbed the budget.

When the published shortage closes, the program ends by design. Leases expire, construction stops, the restriction fund becomes opportunistic, and the occupancy dashboard becomes the early warning system for the next cycle. Measured across decades, other resort towns show that this is the difference between the Whistler outcome and the Aspen one.[48,49]

20. Recommendations

Ref	Recommendation	Who should do it
R1	**Commission a study of how long it takes to evacuate the box canyon, at current, festival-peak, and full build-out populations. This is the gating capacity study, and comparable ones cost $75,000 to $150,000.**	**San Miguel County emergency management with both Towns**
R2	**Publish a capacity ledger every year showing remaining zoned capacity by parcel, a bed-unit accounting, and the measured status of the sewer plant, the gateway intersections, and regional water. Score each application against it.**	**County planning, adopted jointly by the Towns**
R3	**Adopt a buy-before-build test. Before committing construction money, price the cost of buying restrictions for the same households and fund whichever option houses more workers per public dollar.**	**Both Towns and the County**
R4	**Match new rental prices to demonstrated demand by pausing delivery of anything priced above roughly 120% of AMI until the line below 100% clears.**	**Town councils and housing authorities**
R5	**Publish occupancy every month, showing vacancies, waiting lists, and applications per opening by property, size, and tier. The 2025 vacancies built up unmeasured because no such reporting existed.**	**Telluride Housing Department, MVHA, SMRHA**
R6	**Adopt a stated target for the size of the visitor economy, measured in beds, commercial square footage, or bed-units. Every housing need estimate depends on this number, and right now it is unstated and unlimited.**	**The three governments jointly, using the 2026 to 2028 sewer and gondola negotiations as the forum**
R7	**Field a serious regional demand survey measuring willingness to apply at specific combinations of rent, size, and location, including the trade-off questions earlier surveys left out.**	**Livable Telluride with open methods, co-funded by the governments**

R8	**Commission a joint feasibility study of the Norwood river diversion, firmed up by Telluride dry-year storage releases, reported as cost per worker housed and paired with a matching transit service plan.**	**Norwood Water Commission with the three governments**
R9	**Adopt the rules in Section 16 and the scorecard in Section 17 as the standing method for evaluating every publicly subsidized housing proposal, applied in public session.**	**Both Towns and the County**
R10	**Price and publish the employee housing goal, showing the units required, the yearly value of the benefit by employer type, and the cost at cheap versus expensive delivery. Restate the goal as a fixed number of units with a completion date, and carry it in the employing entity's budget next to its salary schedule.**	**Town of Telluride, with the County, the school district, and the hospital district**
R13	**Evaluate, with bond and outside counsel, whether to stop claiming enterprise status for the Housing Authority. Doing so would allow rents to be set where demand actually is, fill the units standing empty, move the subsidy into the open budget, and send future housing debt to voters. Model the bond covenant consequences and any effect on debt already issued before deciding.**	**Town of Telluride and the Telluride Housing Authority**
R12	**Publish the bond rate covenants for the housing portfolio and the annual enterprise-test calculation, so the public and the Authority board can both see how much room exists to change rents before any repricing is proposed.**	**Telluride Housing Authority and the Town of Telluride**
R11	**Where extra density is granted for housing, grant it only for restricted homes, at income levels where demand is documented, on sites with infrastructure, and in amounts drawn against the R2 ledger.**	**County planning and both Towns**

21. What we could not determine

- **Evacuation clearance time.** No study exists (Recommendation R1).
- **Occupancy and waiting list records.** None of the three governments keeps them systematically (Recommendation R5).
- **The cost and financing of the replacement sewer plant.** Unpublished. The cancelled expansion bid above $133 million and a $139.1 million placeholder in the town capital plan are the only public figures.[36]
- **Current Village Court waiting list depth.** Last confirmed at about 1,000 households in 2020.[14]
- **Contradictions inside adopted documents.** Shandoka Building F is recorded at 29 units in one adopted Town document and 12 in another.[55] The 2025 budget book describes the

housing department as managing 185 rental units plus a boarding house, while the rental policies inventory totals 251 units.

- **What commuters would actually do.** No survey has measured whether households now commuting would move here at given rents. Recommendation R7 addresses this, and the repatriation number in Section 5.3 depends on it.
- **Dry-year risk on the lower San Miguel River.** How often Norwood's junior water right would be cut off, and how much stored water a drought year would require, has never been calculated. It is the first question in Recommendation R8.
- **The Measure 3A appeal.** The Colorado Court of Appeals has not ruled. A decision setting aside the election would suspend the only dedicated funding the gondola program has, and no backup plan has been published.
- **Hotel mitigation filings.** The estimates in Section 12.2 are ranges pending those filings and any credit under the Mountain Village code.
- **Lease costs and benefit values.** The return figures in Section 7 and the lease costs in Section 8 are estimated ranges marked [E]. The rankings differ by more than ten times, so they hold up under the stated uncertainty, but the individual numbers should be firmed up.
- **Who lives in restricted units, by employer.** No housing authority publishes this, even though employment is verified for eligibility. The figures in Section 14 are therefore bounded estimates.
- **Market rents by unit type.** The benefit calculation in Section 14.4 rests on an estimated market one-bedroom rent. Current comparable listings would tighten it considerably.
- **Town's staffing totals.** The 2025 budget book does not print one, and the 2015 book's narrative of 65 positions conflicts with its own table showing 70.63.
- **Tax treatment of employer housing benefits.** Whether below-market housing provided by a public employer to its own employees counts as taxable pay is a question for tax counsel, and we do not address it.
- **Carhenge project cost.** The Town has published no estimate, and the figures in Section 14.6 are our model, whose parking premium is expressly a judgment call. A published Town pro forma would replace them.
- **Bond rate covenants.** The covenants governing the housing bonds have not been published, so how much room exists to change rents on occupied units is unknown. This is the first question to answer before any repricing is proposed (Section 8.1).
- **East End land values.** The land figures in Section 10 are estimates. Actual comparable land sales would sharpen the private delivery analysis considerably.

Appendix A. Where the information came from

All figures trace to the Livable Telluride housing baseline file, version 0.6.3 of August 2026, and to the evidence files behind this report. The main sources, by grade:

Grade A, meaning official, adopted, or audited: Telluride Employee Rental Housing Policies as amended May 19, 2026, and the Town's 2026 rent calculator; official 2025 AMI and rent tables for Shandoka, Sunnyside, Voodoo, and Virginia Placer; the 2026 Village Court fee schedule; the Telluride Affordable Housing Guidelines of October 2025; the San Miguel County All-Hazard Mitigation Plan of 2023; the regional wastewater treatment plant master plan of 2017; federal compliance records; the Town's Water Efficiency Plan; SGM Norwood water studies of 2020 and 2022; the PST Engineering traffic study update of 2025; the Diamond Ridge traffic study of 2023; CHFA limits for 2025 and 2026; HUD fair market rents for 2025 and 2026; Census American Community Survey data for 2020 through 2024; Bureau of Labor Statistics wage data for 2024; the Town of Telluride 2025 budget; Voodoo bond documents; audited Whistler Housing Authority statements for 2025; certified housing authority lottery results from 2026; Town of Vail InDEED program's records; the district court order and appellate docket in the 3A election contest; and the gondola cost-sharing agreement and its supplements.

Grade B, meaning professional studies with stated sample sizes: the San Miguel County Housing Needs Analysis of June 2025; the 2024 household and employer surveys; the Residential Job Generation Study of 2000; the Employee Generation by Land Use Study prepared for Teton County in 2013; and Livable Telluride cost tracker models and the companion report on home service employment.

Grade C, meaning news reporting or single observations, labeled wherever used: The Colorado Sun of April 2026; the Telluride Daily Planet; and archived town notices from December 2024.

Endnotes

Notes marked [E] are Livable Telluride calculations, and each one states its method and assumptions. All other notes cite the underlying record.

1. Telluride Employee Rental Housing Policies, amended May 19, 2026, Appendix E (Rental Unit Inventory): Shandoka except Building F 111 units + Building F 29; Sunnyside 30; Voodoo 27; Virginia Placer 21; Boarding House 33 rooms. Total 251.

2. Mountain Village Housing Authority, Resolution 2026-0319-05 (adopted March 19, 2026), 2026 Village Court Apartments Fee Schedule: DOLA use covenants restrict 40 units to ≤50% AMI and 48 units to ≤60% AMI, plus 7 HOME units; Building 16 limited to ≤140% AMI. Standard rents (Phases 1–3, under-100%-AMI rate): studio $824, 1BR $1,084, 2BR $1,211, 3BR $1,574.

3. Livable Telluride housing-listings snapshot, July 31, 2026 (aggregating SMRHA and town listings): one deed-restricted rental listed countywide, a room in a 2-bedroom condo at $1,883/month, which equals the Guidelines' Tier 2 studio maximum exactly.

4. Rent formula: Employee Rental Housing Policies, Appendix B (income tiers and AMI tables) and Table 3B (multipliers for leases on/after Jan 1, 2026). Worked example verified to the dollar against the Town's live 2026 Rent Calculator (telluride.formstack.com/forms/2026_telluride_rental_v1) on July 31, 2026: 2-person household, $85,000 gross → 88.9% of the April 2025 AMI grid → Tier C → Shandoka 1BR/1bath $1,395 = 80%-AMI 1-person income $66,960 × 25% ÷ 12.

5. Multiplier reduction from 27%/30% to 25% (Shandoka A–E) / 27% (all other properties): Policies Tables 3A/3B; council direction October 14, 2025; adopted October 28, 2025; effective January 1, 2026 (Town of Telluride records).

6. Per-property tier availability and initial-lease caps: official Town of Telluride 2025 AMI-Limits/Rent Tables for Shandoka (initial qualification Tiers A–D at Buildings A–E/G–H; B–G at Building F), Sunnyside (Tiers C–J only; initial C–G), Virginia Placer (B–J; initial B–G), and Voodoo (per-unit affordability targets 90–140% AMI; lottery income limits 110–160%).

7. U.S. Bureau of Labor Statistics, Quarterly Census of Employment and Wages (QCEW), San Miguel County (area 08113), 2024 annual averages: all industries 6,077 average jobs, average annual pay $58,699; accommodation & food services $49,332; retail trade $45,086; arts/entertainment/recreation (includes ski operations) $38,476.

8. Same QCEW 2024 file: accommodation & food services 1,532 average jobs (largest sector); arts/entertainment/recreation 856 (second largest).

9. 2024 San Miguel County Regional Household Survey (RRC Associates; n=338 renter respondents), as reported in the San Miguel County Housing Needs Analysis (EPS/RRC, June 2025): median reported market-rate rent $1,848/month.

10. U.S. Census Bureau, American Community Survey 5-year estimates 2020–2024, table B25064: Town of Telluride median gross rent $3,056 (margin of error ±$359); San Miguel County $1,149 (±$57). Retrieved July 31, 2026.

11. The 30%-of-income affordability standard is the U.S. Department of Housing and Urban Development convention, used in the county HNA and in both towns' program documents.

12. ACS 2020–2024, table B25070: of 1,630 county renter households with computable ratios, 872 (53.5%) paid 30%+ of income for rent and 594 (36.4%) paid 50%+. Margin of error on the 50%+ figure is wide (±342 households); the report therefore says "roughly a third."

13. Search of Telluride council/THA meeting packets (2024–2026) found no systematic occupancy or vacancy table; the January 27, 2026 THA packet, read in full, contains none. Vacancy figures in this report come from news reporting of staff statements, labeled Grade C.

14. Village Court waitlist ~1,000 households at its 2020 cap: Mountain Village Housing Authority records as reported in regional press; the list remained capped through mid-2026.

15. November 2023 studio-waitlist reopening rationed to the first 50 applications, reached within two hours: Town of Mountain Village/MVHA records and contemporaneous reporting.

16. San Miguel Regional Housing Authority, certified lottery results, April 24, 2026: 18 qualified households (26 weighted entries) for three ownership units (Silver Jack 202: 6 entrants; Silver Jack 205: 16; Element 52 SW-102: 7). Prices \$352,529–\$405,507.

17. Town of Telluride Voodoo Employee Rental Housing Lottery records (placement document 14685), drawing held August 29, 2024: 33 applicant households for 27 apartments (≈1.2 per home).

18. Town of Telluride news alert 'Rental housing applications open for remaining Voodoo units' (CivicAlerts AID=312, December 18, 2024; original page since removed, recovered via the Internet Archive): five units remained, one studio at \$2,301, three-bedrooms at \$2,961 and \$3,455, and the four-bedroom at \$3,562, with the residency/employment history requirement reduced from three years to one and units offered first-come, first-served.

19. Town of Telluride, Voodoo AMI Limits & Rent Table (2024 lottery document): 27 units targeted 90–140% AMI affordability with lottery income limits 110–160% AMI; initial rents \$1,726–\$3,562; the engagement site described the project as 'targeted for affordability to income groups in the 110% to 170% AMI range (average of 140% AMI).'

20. The Colorado Sun, April 19, 2026 ('In Telluride, new regulations designed to help renters are instead driving many out of town'): of January 2025 renewals, 82 rents increased (35 by more than 49%), 57 stayed flat, 35 decreased.

21. Same Colorado Sun report: 49 of 201 town units vacant in April 2026 (~24%), roughly 15 of them held for renovation.

22. Same Colorado Sun report, quoting the Town's housing director: vacancies were 'not because of a lack of demand.'

23. Multiplier retreat and related reforms: council direction October 14, 2025 (staff projected savings of \$100–\$400/month, up to ~\$900 for some units); adoption October 28, 2025; effective January 1, 2026. Work-hours requirement reduced from 1,400 to 1,200 hours/year and minors' income excluded, adopted March 17, 2026 (Town NewsFlash 386).

24. [E] Subsidy model, Livable Telluride calculation. Method: capital subsidy = development cost per unit minus the present value of the debt the unit's net rent can service. Assumptions calibrated to VooDoo's actual financing (Livable Telluride VooDoo analysis, livabletelluride.org/deep-dive-voodoo.html): blended bond rate 5.5% (actual series, all maturing December 2032: 2022A \$6,234,290 at 4.69%; 2022B \$14,472,068 at 5.86%; 2023 \$2,339,506 at 5.86%); amortization over 30 years, deliberately favorable to the project, as the actual bonds do not amortize but mature with a $23,045,864 balloon in December 2032 with no sinking fund identified in published budgets; operating cost $5,000 per unit per year (VooDoo FY2025 actual: $134,098 across 27 units, approximately $4,967); 95% occupancy; rents per the CHFA 2026 maximum-rent tables (two-bedroom column).

25. VooDoo actuals (bond documents and FY2025 budget, per the Livable Telluride VooDoo analysis): development model $33.9M, equal to $1,255,635 per unit including land; all-in public cost approximately $955,000 per unit ($20.065M bonds, approximately $4.7M Affordable Housing Fund cash, and approximately $1M waived tap fees, across 27 units). FY2025: rental revenue $872,000 (actual collections, as reported); the 2025 Budget Book and press describe the building as fully occupied for FY2025, but the Town's December 18, 2024 notice shows 5 of 27 units then unleased, so early-2025 lease-up vacancy may depress collections. Full-occupancy potential at the initial 2024 rent table is approximately $0.9M/yr, which still falls short of costs of $1,324,338 (operating $134,098 + debt service $1,190,240); required annual subsidy approximately $452,338; debt-service coverage 0.73x, below the 1.00x minimum lenders accept. Total cost through 2032: approximately $41M under the balloon structure (approximately $34M if amortized over ten years).

26. [E] Exhibit values apply the note-24 model at CHFA 2026 two-bedroom rents, $1,770 (60% AMI), $2,950 (100%), $4,130 (140%): rent-financed $221k / $416k / $612k; public $1.035M / $840k / $644k of the $1.256M unit cost.

27. Sunnyside cost: cost tracker documented model, $15.48M ÷ 30 units = $516,103/unit; land contributed by San Miguel County at no charge; $11.965M financed (Series 2021A/B, maturing 2040 with $6.17M balloon) plus $3.51M town cash.

28. Shandoka Lot L (proposed, Alternative 2B, May 2026 feasibility study): $181.29M across 55 units, approximately $3.3M per unit, excluded from the delivery-cost exhibit because the figure includes an approximately 900-space parking garage (about $108M) and other shared facilities, making it a mixed-use facility cost rather than a pure housing cost.

29. [E] Steady-state operations: Whistler Housing Authority audited FY2025 statements (366 owned rental units) show ~$9,500 operating + ~$2,600 administration per unit per year; Shandoka's own pre-capital FY2023 actuals (~$13,000/unit) match the combined figure. Applied to 251 Telluride units: ≈$3.3M/year before reserves and major capital.

30. Whistler Housing Authority FY2025: capital reserve contributions equal to $2,400–3,900 per unit per year, tiered at 4%/10%/25% of revenue by building age. Applied to 251 units: ≈$600,000–1,000,000/year.

31. Bond balloons: VooDoo 2022A/B and 2023 series mature December 2032 with a $23.05M balloon; Sunnyside Series 2021A/B mature 2040 with a $6.17M balloon (official statements, summarized in the cost tracker).

32. Town of Telluride 2025 adopted budget: Community Services–Housing $13.76M (Shandoka $11.1M including capital; VooDoo $1.21M; Sunnyside $821k; Virginia Placer $758k); 8.48 housing FTE plus 2 Housing Development staff.

33. Aspen-Pitkin County Housing Authority: ~$10M 2025 budget, ~$1.9M administration, ~3,100 units overseen (347 directly managed).

34. Vail InDEED program: ~$62,000–68,000 average per deed restriction; 162 restrictions for ~$11M by 2021 (Town of Vail program records).

35. Telluride Regional WWTP: 2017 Master Plan (rated 3,708 lbs/day BOD5; 2017 projected maximum-month load 4,380 lbs/day); the plant has passed the state's 80% CDPS planning trigger on BOD (Town records); CDPS permit CO0041840 expired November 30, 2025 and operates on administrative continuation; EPA ECHO shows 12 of the last 13 quarters in noncompliance, 7 in Significant Noncompliance (zinc, chlorine residual). Current flows ~0.8 MGD average / 1.6 peak (June 2025 MOU).

36. On-site expansion design-build contract canceled January 2024 after the 30% design priced above $133M for approximately +0.2 MGD of capacity; the Town's 2025 budget carries $9.7M of interim wastewater capital and a $139.1M five-year capital-improvement placeholder.

37. Memorandum of Understanding, June 2025 (San Miguel County, Mountain Village, Telluride): new ~2.67 MGD regional plant at the Ilium/Hwy 145 'Alexander' parcel (purchased June 2024, $1.1M); a new regional Sewer Authority to be formed by July 1, 2028; Mountain Village to carry ~35% of cost and capacity.

38. PST Engineering, Telluride Southwest Area Traffic Impact Study Update (September 4, 2025): Davis/Colorado Ave northbound LOS F with 174-second average PM delay (148.5 seconds in the 2020 study); recommended mitigation is a two-way left-turn lane or mini-roundabout, both modeled to restore acceptable service.

39. Diamond Ridge Traffic Study (stamped final, April 15, 2023) and its updated exhibits: Last Dollar Rd/Hwy 145 Spur degrades from LOS C to failing by 2042 at a 1.5%/year background growth rate with no new development (~209-second delays); a 240-unit project advances failure to ~2027 and meets federal signal warrants; rerouting movements pushes the Society Turn roundabout 'to unacceptable LOS quickly.'

40. Gondola: built 1996; replacement estimated at $120–150M+ against ~$8.2M/year of voter-approved 3A revenue (2024); current operating agreement expires December 31, 2027; 2026 planning budget $2.46M shared 50% SMART / 25% Telluride / 25% Mountain Village-TMVOA (Third Supplement to the 2023 cost-sharing IGA, May 2026). Of the ~$8.2M annual 3A revenue, approximately $5.5M funds operations and maintenance, leaving ~$2.7M for capital (note 70).

41. Town of Telluride Water Efficiency Plan (2020–2027, final draft): 2018 peak-day demand 0.90 MGD against ~2.0 MGD of treatment capacity (Mill Creek 1.0 + Pandora 1.0, Pandora designed to double with one year's notice to Idarado); build-out peak-day projection ~2.0 MGD; plan concludes supply is adequate for current and future needs within the service area.

42. Norwood: SGM Water Master Plan (November 2020) and Water Supply Adequacy Memo (August 2022): firm supply is a single perpetual 300 acre-foot/year Gurley Reservoir contract, deliverable April–November; ~198 AF in use (2022); full allocation reached ~2036 at 3% growth or ~2042 at 2%; treatment plant projected at 92% of capacity by 2042; the sole 10-inch transmission line is past its useful life.

43. San Miguel County All-Hazard Mitigation Plan (2023): Telluride 'is located within a box canyon and is accessed by one road'; wildfire evacuation is 'a huge concern'; the county is rated highly vulnerable; visitor influx during festivals is flagged against limited evacuation routes; Mountain Village mitigation action #17 is a secondary ingress/egress road. The plan contains no evacuation clearance-time estimate.

44. Sanibel, Florida (comprehensive plan, 1976 onward): build-out cap grounded in hurricane-evacuation clearance time; upheld in litigation; documented in the investigation's peer-community research with sources.

45. [E] Service-employment overhead of 15–35% per housed household: range synthesized from resort-region economic studies (including Pitkin County's 2025 EPS/RRC finding that residences now generate 0.096 FTE per 1,000 sq ft, homes account for ~14% of county jobs) and standard service-multiplier literature; full sourcing in the investigation's induced-growth evidence file. The series converges mathematically; it is an overhead, not a runaway.

46. Telluride Land Use Code housing-mitigation standards: job generation assessed at ~2.5 employees per 1,000 sq ft of commercial space with 40% mitigation. Comparison: Aspen assesses 4.7 per 1,000 sq ft and mitigates 65%.

47. [E] The 16%/84% split decomposes the HNA's own need components (June 2025): catch-up need tied to existing residents (overcrowded units 110; households in temporary conditions 72) ≈16% of the 1,114-unit total; the remainder is attributed by the HNA to in-commuter relocation, unfilled jobs, and projected 2024–2034 job growth. Livable Telluride arithmetic on the HNA's published tables.

48. Aspen/Pitkin: 3,100+ APCHA units; ~7,500 workers/day still commute in; ~62% of the county workforce lives outside the county; fee-in-lieu now $328k–$408k per employee housed (APCHA and Pitkin County records; investigation evidence file).

49. Whistler: Official Community Plan bed-unit cap (52,500 in 1989, ~61,500 + 1,000 in the 2020 OCP); Whistler Housing Authority reports ~84% of the workforce living locally.

50. Big Sky, Montana (no comparable housing program): ~80% of the workforce commutes in, largely through Gallatin Canyon (regional studies; investigation evidence file).

51. [E] Land inventory, Livable Telluride GIS analysis of San Miguel County parcel, zoning, future-land-use, steep-slope, and conservation-easement layers (July 2026): East End planning area ~20,250 acres; Residential High/Mixed-Use class 476 acres at ~1.7 acres per existing address; Conservation + Residential Low ~17,500 acres at county by-right density of 1 unit per 35 acres. Slope layer coverage is conservative (understates constrained terrain); method notes in the evidence file.

52. Colorado HB23-1255 (2023) prohibits local governments from enforcing residential growth caps of the Aspen/Boulder annual-permit type.

53. Teton County/Jackson, Wyoming comprehensive plan: published parcel-level buildout (9,815 existing units; 5,420–9,880 potential additional), with plan review triggered at each 7% growth increment; workforce-housed-locally target of 65%.

54. Whistler's 'bed unit' assigns infrastructure load per person-equivalent (single-family home = 6; hotel room = 2), allowing residential and lodging growth to be counted in one ledger.

55. Example discrepancy: Shandoka Building F is listed at 29 units in the Policies' Appendix E (May 2026) but 12 units in the Town's official 2025 Shandoka rent table. Virginia Placer studios: 6 vs 4 between the same two documents.

56. Town of Mountain Village, Meadowlark project page and August 8, 2023 pricing release: 29 units (12 multifamily 1–2BR + 17 townhome-style 2–3BR); initial prices $395,287 (1BR) to $1,025,763 (3BR with garage); $4.3M town buy-down producing $524–544/sq ft versus the $617/sq ft then prevailing for Mountain Village deed-restricted resales; ten units reserved for essential organizations; allocation by tiered priority points. Deed restriction: no income limits; 4% annual appreciation cap; R-1 employment of 1,560 hours/year; MVHA first offer on resale.

57. Telluride Daily Planet, December 17, 2024 (council ‘lessons learned’ session): 28 of 29 Meadowlark units sold, final unit ~$778,000 then listing; original budget $20.9M; town contribution ~$6M less at least $1.6M recovered through unsubsidized sales to essential organizations; Town Manager Wisor’s per-unit subsidy estimate ~$137,000, and his conclusion that 41 units would have been better than 29. Same session, Finance Director Lemley on Village Court Phase 4: $22.6M total, $15M lease-purchase, $3M+ grants, ~$4M town/Affordable Housing Development Fund; 35 units.

58. Telluride Daily Planet, July 14, 2026, ‘Looking for a unicorn buyer’: Pinion Park, 24 homes, Rural Homes pilot built with state grant funding and donated county land; income caps 120% AMI (80% on certain units); Commissioner Lance Waring’s ‘unicorn buyer’ description; original buyers received a 2.5%, no-down-payment mortgage unavailable to resale buyers; SMRHA reports one formal qualification application; documented seller expecting a ~$100,000 loss under a county-required declining price schedule.

59. SMRHA property listings, retrieved August 1, 2026: five Norwood (Pinion Park) homes listed $262,895–$383,244, on market five months to over a year.

60. [E] Conversion convention: municipal wastewater planning commonly uses 70–100 gallons per person per day of plant capacity once residential, lodging, commercial, and inflow allowances are averaged, and 0.17–0.2 lbs of BOD per person per day; the 2017 TRWWTP Master Plan itself works in population equivalents and treats restaurant/brewery waste as high-strength. The ranges in this section are deliberately broad; the conclusions do not depend on the exact factor chosen.

61. Town of Mountain Village, Regional Wastewater Treatment Plant Project page (retrieved August 1, 2026): existing plant on a 3.24-acre site with ~2.5 usable acres; 'Restricted Expansion Space' listed among its challenges; festivals add up to 24,000 visitors; the ~$133M retrofit option would have reached 2.3 MGD, sufficed only through 2047, and required rebuilding around an operating plant, the basis for selecting a new Ilium Valley site.

62. [E] Headroom arithmetic: 2.67 MGD planned capacity minus ~1.6 MGD current peak flows ≈ 1.0–1.1 MGD; at 70–100 gallons/person/day this is roughly 10,000–15,000 additional persons present at peak. Livable Telluride calculation; the Sewer Authority's final design population should replace this range when published.

63. Four Seasons Telluride (Mountain Village) developer materials and floor plans: 26 private residences (one to five bedrooms, 821–6,445 sq ft, priced from $4M) and 43 hotel residences; five-star service program. Grade B (marketing); mitigation filings should be checked as they become public.

64. Town of Mountain Village Design Review Board packet, December 1, 2022 (staff memo, 109R/Six Senses major PUD amendment): 50 guaranteed hot-bed efficiency lodge units, 31 lodge units, 20 condominiums, ~26,000 sq ft of commercial space, plus 18 employee dormitory units (306–408 sq ft) and 2 employee apartments.

65. Society Turn Preliminary PUD/Subdivision Application with Exhibit X, Employee Housing Mitigation Plan (October 21, 2022; approved per the record): maximum total density 342,843 sq ft (364,319 with the fourth-story employee-housing option); hotel capped at 116,000 sq ft and 125 rooms; offices 85,000; flex 74,000; retail 28,600; medical center 40,000 net; employee housing 91 required units plus 27 bonus and 3 medical-center units (121 maximum), in a 25/50/25 studio/1BR/2BR mix. The application states the density cap was derived from Telluride water/sewer allocations, the traffic study, and CDOT access permitting.

66. [E] Staffing estimate: luxury-tier hotels conventionally staff at 1.5–2.5 employees per key; applied to ~43 Four Seasons keys and ~81 Six Senses lodge units plus 2.5 jobs per 1,000 sq ft on ~26,000 sq ft of commercial space (Telluride LUC rate), less the ~20–on-site employee units, yields an order-of-magnitude 200–400 net new service jobs. Refine from mitigation filings when available.

67. SGM engineering for the Norwood Water Commission (2020 Master Plan; August 2022 Supply Adequacy Memo): NWC's decreed 5 cfs San Miguel River diversion right (Case No. 94CW244; diligence 08CW55) remains undeveloped; identified constraints are the intake, pumping lift to Wright’s Mesa, transmission, treatment-plant capacity (92% by 2042), and financing, not the decree.

68. [E] Firming concept: Telluride holds senior storage (Blue Lake, 920 + 413 acre-feet) upstream of the NWC diversion point; storage releases in curtailment years would firm Norwood’s junior right when its reservoir supply is most stressed. Legal mechanism (augmentation plan, exchange, or contract) and the dry-year call frequency on the lower San Miguel require the feasibility work of Recommendation R8; the Idarado settlement’s upper-basin provisions would require review.

69. SMART (San Miguel Authority for Regional Transportation) schedules: weekday Norwood–Telluride commuter service, approximately 65–70 minutes end to end, $2 fare ($3 from Nucla/Naturita), morning arrival in Telluride before 8 a.m. Ridership on the route is characterized by the maintainer as light; SMART route-level ridership reporting was not located in the public record, obtain from SMART directly. SMART’s April 2026 RFP for a gondola structural condition assessment is the same agency’s parallel workstream on the Region’s other transit asset.

70. Ballot Issue 3A: referred by SMART Board Resolution 2024-15 (September 5, 2024); approved November 2024 by voters within the district, 1,956 to 1,758. Revenue figures are from the measure’s required TABOR notice, projected 2025 revenue of $8,200,000, an increase of $5,200,000 over revenue expected without the measure, as recited in the district court’s order (note 71). The measure funds gondola operations and maintenance as well as capital improvements. Of the projected $8.2 million, approximately $5.5 million is required annually for operations and maintenance, leaving approximately $2.7 million for capital; the precise split should be confirmed against SMART's adopted budget, and the capital share will vary year to year with operating cost. [E] Accumulation arithmetic: $120–150 million ÷ $2.7 million per year = 44–56 years; annual capital coverage $2.7M ÷ $120–150M = 1.8–2.3%.

71. Masson v. Board of County Commissioners of San Miguel County et al., San Miguel County District Court Case No. 24CV8, Order Following Trial on Election Contest (August 4, 2025) (contest dismissed; ballot language and TABOR notice held not clearly misleading). On appeal as Masson v. San Miguel Authority for Regional Transportation, Town of Mountain Village, and Town of Telluride, Colorado Court of Appeals Case No. 2026CA391; opening, answer, and reply briefs filed April–July 2026; decision pending as of this report.

72. Third Supplement and Amendment to the Intergovernmental Agreement for Cost-Sharing of the Planning and Gondola Project Development Phase of the Gondola Project, effective January 1, 2026 (executed May 19, 2026): 2026 development budget of $2,461,032, SMART 50% ($1,230,516), Town of Telluride 25% ($615,258), Mountain Village entity 25% ($615,258, split equally between the Town of Mountain Village and TMVOA), including $1.8 million for project-development services; signatories also include San Miguel County and TSG Ski & Golf, LLC; six-station configuration from Oak Street (Station 1) to the Mountain Village Center (Station 6); underlying IGA dated November 14, 2023.

73. [E] Conversion factors: hotel staffing of 1.5–2.5 employees per key (note 66 method); multiple-job-holding of ~1.2 jobs per worker and 1.4–1.8 workers per household are standard mountain-resort housing-needs conventions and should be cross-checked against the County's 2025 Housing Needs Assessment methodology when quoted. All factors are presented as ranges; the conclusions do not depend on any single point choice.

74. [E] Arithmetic: 200 jobs ÷ 1.2 = 167 workers, less up to 40 housed on-site, ÷ 1.8 workers/household ≈ 70 households; 400 ÷ 1.2 = 333, less 25, ÷ 1.4 ≈ 220 households; central ≈ 140. Public capital per unit at the 60–100% AMI tier from the Section 5 subsidy model: \$145,000–\$352,000 (Sunnyside-class, \$516,103 development cost per unit on free public land) to \$678,000–\$1,090,000 (VooDoo-class, \$1,255,635 per unit). Central bill: ~140 units × \$400,000–\$700,000 ≈ \$55–100 million. An interactive version of this model, with every factor editable, is published as the Livable Telluride Project Housing & Infrastructure Bill calculator.

75. [E] Per-key: central bill ÷ ~124 keys (≈43 Four Seasons + ≈81 Six Senses lodge units) ≈ \$450,000–\$800,000 per key; at ~2.2 pillows per key, ≈ \$200,000–\$360,000 per pillow. Wastewater: ~275 guest pillows plus high-strength food-and-beverage, spa, and laundry loads ≈ 400–600 person-equivalents, plus ~250 workers residing in the service area; at 70–100 gallons/person/day ≈ 0.05–0.08 MGD, i.e., 5–8% of the ~1.0–1.1 MGD generational headroom of note 62. Traffic: resort generation of ~5 trips/key/day plus ~200+ commuting workers ≈ 600+ daily trips; comparator from note 39 (a 240-unit project advances Society Turn roundabout failure to ~2027). Each hotel's traffic study was conducted individually; no cumulative analysis exists.

76. Home service employment: "Who Works for a House?" (Livable Telluride, August 2026). Our own refit of the 2000 Residential Job Generation Study size bins gives an elasticity of 1.57, against 1.59 from the 2013 Teton County regression. Paid property service employment runs from about 0.01 full-time equivalents for a local studio to about 0.5 to 2.0 for a 15,000 square foot second home used one month a year, with local worker households at the bottom of the curve. The same report documents that the construction workforce lives mostly outside the county, at 51% of general contractor employees and 80% of subcontractor employees in the 2000 survey, and treats construction as a regional labor flow rather than local housing demand.

77. [E] Return per repatriated or stabilized worker: a Montrose round trip of about 130 miles times about 220 working days at \$0.65 to \$0.70 per mile is roughly \$18,000 to \$20,000 a year in vehicle cost; about 2.5 hours a day of travel time at a modest valuation is roughly \$14,000; employer turnover avoidance uses the industry convention of 30% to 50% of salary per avoided replacement, amortized; public increments include peak-hour trips removed from the Society Turn and Last Dollar intersections, road maintenance, transit subsidy offset, and school enrollment. Stated conservatively as \$25,000 to \$40,000 per worker per year, and used only to rank tools whose cost ratios differ by more than ten times.

78. [E] Frontier arithmetic: per-bed figures convert the per-unit costs in notes 25, 27, 34, 57, and 90 at observed bedrooms per unit, with Carhenge converted at the 290 to 340 bedrooms estimated in Section 14.6, with capital spread over 30 years, and return-to-cost ratios applying the note 77 range to yearly all-in cost. The repricing cost is the foregone rent premium on units generating no rent today. Lease costs are bracketed from operating peer programs of the Lease to Locals type at $5,000 to $15,000 per bed per year, reversible.

79. [E] Program sizing: 182 units of existing-resident need from note 47, plus an elected repatriation tranche of roughly 100 to 200 beds to be measured by Recommendation R7, less roughly 70 beds recoverable by repricing the vacant town stock from note 21, giving about 250 to 400 beds.

80. [E] Retrospective scores apply the rules as written to the documented record of each project, using notes 16 through 19, 24 through 28, 56 through 59, and 90. Reasonable people may move any single project one point in either direction without changing the ordering.

81. [E] Program cost: 40 to 60 restrictions at $65,000 to $70,000 is about $2.8 to $4.2 million; a built remainder of 150 to 250 bedrooms at $45,000 to $61,000 is about $7 to $15 million; lease flow is budgeted annually; repricing requires no capital. Total about $15 to $25 million, excluding land already publicly held. Comparisons: Voodoo at about $26 million all-in for 27 units (note 25), gondola replacement at $120 to $150 million (note 40), and the sewer program in nine figures (note 36).

82. [E] Influx response costing: master lease absorption of about 140 households at $5,000 to $15,000 per bed-year on the note 78 basis is $0.7 to $2.1 million a year, assigned to operators. Residual public exposure of targeted restriction purchases in down-valley communities, plus a transit capital share, plus administration, is about $5 to $15 million, against the $55 to $100 million public construction alternative in note 74. Operator staff housing practice at comparable five-star properties, and each project's actual obligations under the Mountain Village code, should be confirmed from the mitigation filings when public.

83. U.S. Bureau of Labor Statistics, Quarterly Census of Employment and Wages, San Miguel County, 2024 annual averages: local government 809 average jobs at $64,178 average annual pay, of which public education is 247 jobs at $53,953; total county employment 6,077, making the local government share 13.3%. Private sector comparisons appear at note 7.

84. [E] Rental benefit method: restricted rent from the Town's tier formula in note 4 for a lower tier at roughly $1,050 to $1,200 a month, against an estimated market one-bedroom of about $2,400. The market comparison is the load-bearing assumption. Census data for 2020 through 2024 puts the Telluride all-unit median gross rent at $3,056, and the 2024 regional survey puts the market median at $1,848 (notes 9 and 10), so a proper analysis would use current comparable listings by unit type. The gross-up applies a combined federal and Colorado marginal rate of about 26%. Benefit stated as $14,000 to $17,000 untaxed, $19,000 to $23,000 pre-tax equivalent, and 35% to 43% of a $53,953 salary.

85. [E] Ownership benefit method: the Meadowlark resale listing at $833,586 with $610 monthly association dues (note 56). A mortgage at 5% over 30 years with 5% down produces about $4,251 of monthly principal and interest, and adding dues, taxes, and insurance totals about

$5,300, which is about what an equivalent three-bedroom rents for, so the monthly benefit is small. The equity channel is 4% capped appreciation on $833,586, which is $33,343 a year, plus first-year principal reduction of about $11,600. Public cost of about $137,000 per home (note 57) spread over 30 years is about $8,000 a year. The comparison of household benefit to yearly public cost across tools, roughly 5 to 1 at Meadowlark against roughly 0.3 to 1 at Voodoo, applies the same method to note 25.

86. Town of Telluride budget books, local copies in the project archive: total expenditures across all funds of $36,379,949 in 2015 (p. 20) and $99,901,839 in 2025 (p. 49); General Fund personnel cost of $5,490,405 in 2015 (p. 110) and $11,581,800 in 2025 (p. 58); all-funds labor cost of $15,182,556 in 2025 (p. 51). Authorized positions of 70.63 in 2015 (p. 69, year-round FTE table) and 80.86 in 2020 (p. 63). The 2025 book presents staffing only as a stacked chart without a town-wide total (p. 40), where the labeled segments sum to 99.61 and the chart is incomplete, so the real total is higher. Housing department positions: Shandoka 5.00 in 2015 and 8.48 in 2025. The 2015 narrative states 65 positions (p. 65), which conflicts with its own table, and that inconsistency is noted in Section 21.

87. Town of Telluride 2025 Budget Book: "Continue to work toward the goal of housing 30% + of Town of Telluride employees in dedicated Town employee units" (p. 35, Town Council Goals and Objectives, repeated at p. 132 under Upcoming Year Focuses), and "The Town also strives to be the employer of choice in the region" (p. 38). The terms "employee housing" and "staff housing" do not appear in the 2015 or 2020 budget books in reference to housing Town staff, and the 2025 occurrences at pp. 15 and 67 are statutory descriptions of fund purposes. No budget document states the number of units occupied by Town employees, the value of the benefit, or the cost of the goal.

88. Portfolio coverage and subsidy: Livable Telluride analysis of Town and Telluride Housing Authority bond records and budgets. Net operating income across the analyzed projects covers about 70% of annual debt service, requiring roughly $1.1 million a year of subsidy. Bonded housing debt is about $81.7 million across five projects, none submitted to voters, with about $36 million of balloon payments between 2032 and 2040. See notes 25, 27, and 31.

89. [E] Employee housing goal costing: 30% of a workforce of about 100 positions is about 30 employees. The imputed benefit of 30 households at $15,000 to $20,000 a year (note 84) is $450,000 to $600,000, against all-funds labor cost of $15,182,556 (note 86), which is 3.0% to 4.0%. Capital: 30 units at $137,000 for Meadowlark-style delivery (note 57) is about $4.1 million, and 30 units at $955,000 for Voodoo-style delivery (note 25) is about $28.7 million. The estimates assume the Town's share of restricted units tracks its share of the goal, since the actual count of Town employees housed in Town units is not published.

90. Carhenge Lot Redevelopment, Lots 34 and 34B, Town of Telluride: a Town-owned former surface parking lot at the base of Lift 7. Advanced by the Town with Design Workshop through a Planning and Zoning work session on March 26, 2026, and Historic and Architectural Review Commission work sessions on May 5 and May 20, 2026, with PUD, subdivision, and Large Scale

Activity applications to follow. Program as presented: about 225 homes, about 9,900 square feet of commercial space, about 370 underground parking spaces, and about 252,400 square feet of total floor area. [E] Cost: no Town estimate has been published. The figure used is the Livable Telluride cost tracker model of about 150,100 square feet of residential plus 9,900 of commercial at $1,000 per square foot for $160 million of construction, $10 million of land value, and $44.4 million of underground parking at about $120,000 per space adjusted for groundwater conditions, which is an unverified judgment, totaling about $214.4 million or $952,889 per home. Unit sizes are modeled at about 725 net square feet on average per the Town's Affordable Housing Guidelines unit size standards.

91. [E] Capital structure decomposition: Meadowlark total development cost of $20.9 million across 29 homes is $720,690 per home, of which the public net share was $137,000, or 19.0%, leaving buyers to finance about $569,000 each. Voodoo total development cost of $33.9 million across 27 units is $1,255,635 per unit, of which the public all-in share was about $955,000, or 76.1%. Holding the public share at 19.0% and applying it to the Voodoo's cost gives $238,571, so of the $818,538 difference between the two projects, about $101,571 (12%) is attributable to construction cost and about $716,967 (88%) to who financed the asset.

92. [E] Income reach of ownership: at a 5% rate over 30 years with 5% down and 30% of income to housing, a $569,000 average price requires roughly $145,000 of household income, or about 145% of AMI for a four-person household under the County's own fee model method. A household at 60% of AMI, or $50,220 for one person, supports a purchase price of roughly $197,000 by the same method, so at Meadowlark total development cost of $720,690 the public gap at that income would be about $524,000 per home rather than $137,000. At equal development cost the ownership and rental gaps at the same income level converge to within a few percent.

93. [E] East End land value: estimated as residual value, meaning finished market value less construction cost and developer return. At the market price of $1,291 per square foot of heated floor area used in the County's 2024 impact fee model, and construction and soft costs in the $516,000 to $721,000 per unit range demonstrated by Sunnyside and Meadowlark, residual land value falls in the range of roughly $200,000 to $400,000 per unit of entitled density. This is an estimate and should be replaced with actual comparable land sales before use in any specific proposal.

94. [E] Inclusionary pro forma: a market unit built for about $650,000 on land acquired at unentitled value of about $67,000 per eventual unit, selling at roughly $1.3 to $1.4 million, leaves roughly $300,000 to $450,000 of surplus after a normal developer return. Each restricted unit requires roughly $150,000 to $200,000 of internal cross-subsidy at Meadowlark pricing. That supports restricted shares of roughly 30% to 50%. The result is sensitive to land acquisition price, which rises as soon as a rezoning becomes predictable for a specific parcel, and to construction cost.

95. Telluride Housing Authority TABOR Enterprise Status Analysis (Livable Telluride, March 2026), applying Colo. Const. art. X, sec. 20(2)(d) and Nicholl v. E-470 Public Highway Authority, 896 P.2d 859 (Colo. 1995). Figures cited here: government transfers of $95,000 against total revenues of $623,744 at Virginia Placer in 2019 actuals, which is 15.2%; and at the entity level, Shandoka Fund appropriations of $1.73 million plus recurring transfers of $680,000 plus a Building F Affordable Housing Fund contribution of $1.14 million, amounting to roughly 52% of all identified revenues. The Authority own 2025 and 2026 cash-flow models carry explicit moral obligation subsidy lines of $218,000 for Virginia Placer and $219,000 for Voodoo. Readers should note that Livable Telluride takes the position that enterprise status is not supportable, so these paragraphs describe a question on which we are not neutral.

96. [E] Illustrative repricing arithmetic: of 201 town units, about 49 are vacant and roughly 15 of those are held for renovation, leaving about 34 rentable and empty (note 21). At an illustrative portfolio average rent of $1,800 a month, a 7% reduction across 152 occupied units gives up about $230,000 a year, while filling 34 empty units at the reduced rent produces about $683,000, for a net gain of roughly $450,000. The average rent is an assumption rather than a published figure, and the Town should run this calculation on its actual rent roll. The conclusion that the government share cannot be moved under 10% by any rent change does not depend on the assumption, because closing a gap from 52% to under 10% would require roughly ten times current rent revenue.

97. [E] Beds recovered: about 34 rentable units standing empty (note 96) at roughly 1.4 bedrooms per unit is about 48 beds, measured against the 250 to 400 bed program in note 79, which is 12% to 19%. The legal consequences of conceding enterprise status, including any effect on debt already issued, the application of TABOR revenue and spending limits to a non-enterprise district, and whether an appropriation may count toward a bond rate covenant, are questions for bond counsel and outside counsel. This report identifies the choice and its housing consequences and expressly does not offer a legal opinion on any of them.

This is a draft for discussion. Livable Telluride welcomes corrections, because the report gets better when readers find its errors.